HCHC584/24
SIMBARASHE MUSHAMBI DUBE
and
PAULA DUBE
versus
DOUGLAS NZOMBE CHIUTSI
and
HEALTHWELL PHARMACY (PVT) LTD
t/a CLIQUE PHARMACY

HCH2810/25
DOUGLAS NZOMBE CHIUTSI
versus
SIMBARASHE MUSHAMBI DUBE
and
PAULA DUBE

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUSHURE J
HARARE, 18-20 June; 15, 27-28 July; 28-29 August, 4 September 2025 & 7 April 2026

Mrs. P. Mwandura for the plaintiffs (and respondents under HCH2810/25)
Mrs. Y. Chigodora for the first defendant (and applicant under HCH2810/25)
No appearance for the second defendant

Civil Trial

MUSHURE J:

INTRODUCTION

[1] The plaintiffs are husband and wife. At the material time, they, together with the first defendant, were shareholders in the second defendant, a pharmacy which was operating in the Central Business District of the City of Mutare until it was closed down sometime in 2024. At some point in their lives, the plaintiffs and the first defendant were mutual friends, with their friendship stretching back to their university days. It was as a result of this relationship that the three mooted an idea to open and operate the second defendant. The first plaintiff was the major shareholder, holding 34% shares while the second plaintiff and the first defendant held 33% shares apiece.

[2] The plaintiffs alleged that during the course of their business in the second defendant, the first plaintiff discovered that the first defendant was systematically and deliberately

siphoning funds from the second defendant through firstly, procurement fraud committed through the generation of fictitious goods received vouchers without invoices, and proof of delivery of the drugs which he purported had been purchased by the second defendant. A total of US$15 621.37 was allegedly lost through this.

[3] Secondly, the plaintiffs alleged that the second defendant purported to have received drugs worth US$284 036.21 from fictitious suppliers which drugs were never received by the second defendant.

[4] The plaintiffs further alleged that the first defendant, who at the material time was the second defendant's executive director, was responsible for the day to day running of the second defendant. In his capacity as such, he was responsible for running the second defendant's entire business operation in accordance with sound business judgment; procuring stocks for the second defendant in accordance with industry practice and in compliance with all the applicable laws and regulations and ensuring that all payments were made to the suppliers on the basis of goods actually procured and delivered.

[5] The plaintiffs alleged, further, that the first defendant was expected to act in the best interests of the second defendant but, in breach of this duty he had, from August 2021 to March 2024, misappropriated funds as outlined above. It was the plaintiff's allegation that had the first defendant not misappropriated these funds, they would have been distributed among the shareholders. Further, on 3 July 2024, the first defendant had, during a shareholders meeting, acknowledged that he had prejudiced the second defendant in the sum of US$258 708 and resultantly, the plaintiffs had suffered a prejudice of US$170 000.

[6] The plaintiffs alleged that they had managed to recover US$40 000 from the first defendant, and consequently, the first defendant was liable to pay US$160 770.57 being damages suffered by the plaintiffs as a result of the first defendant's breach of loyalty in executing his duties, as required by s55 of the Companies and Other Business Entities Act [*Chapter 24:31*] 'COBE'.

[7] The plaintiffs alleged that in terms of s60 of COBE, they were entitled to claim from the first defendant damages caused to them as a result of this breach. They sued out summons in this court claiming

> "a. Payment of the sum of US$160,770.57
>
> b. Interest thereon at the prescribed rate from the date of summons to the date
>
> of full and final payment.

c. Costs of suit."

[8] The first defendant strenuously resisted the claim. He also filed an application at the High Court in Mutare seeking the setting aside of the 3 July 2024 meeting minutes, contending that at the time of the meeting, he was not in his proper senses because he has been negatively affected by his incarceration on allegations of defrauding and misappropriating the second defendant's funds. He contended further, that he signed the minutes in the agony of the moment, at a time when he was haunted by a degrading and inhumane prison experience and he feared that he would be incarcerated again. He averred that he lacked the mental capacity to contract, thereby vitiating the minutes of that meeting.

[9] The first defendant contended that at all times, he properly discharged his duties and in the best interests of the second defendant. He disputed the under-receiving of stocks and the generation of fictitious goods received vouchers, contending that the allegations had been manufactured. He disputed the amount, which he was alleged to have deprived the plaintiffs, dismissing it as being fictitious and simply meant to fix him.

[10] At the case management stage, the parties agreed that the two matters be consolidated and dealt with as one cause by one Judge, with the issue for determination in the Mutare matter becoming the second issue for determination in the trial. The matter was consequently referred for trial on the following issues: -

a. Whether or not the first defendant is liable to the plaintiffs in the sum of US$160 770.57 together with interest thereon calculated at the rate of 5% per month from the date of filing of summons to the date of payment plus cost of suit.
b. Whether or not the first defendant was mentally incapacitated when he attended the meeting held on the 3rd of July 2024.

THE PLAINTIFFS' CASE

[11] In support of the plaintiffs' claim, the plaintiffs led evidence from four witnesses, namely the first plaintiff, Clever Gapara, Michelle Rumbidzai Ringoziva, and Thompson Mucheki. I summarise their evidence below.

Simbarashe Mushambi Dube

[12] He was the plaintiffs' main witness. His evidence, while extensive, can be distilled as follows:

[13] He worked with the first defendant as a co-partner in the second defendant, where he was the majority shareholder and a director. His responsibilities included managing, maintaining and reviewing stocks as well as ensuring sufficient working capital in the second defendant. He identified himself as an oversight director.

[14] The first defendant's responsibilities, he testified, included ordering stock, managing stock inventory, dispensing stock, initiating payments, processing payments, recruiting staff and managing staff. It was his evidence that, in accordance with the shareholder agreement, the first defendant was the second defendant's managing director and, by default, the supervising pharmacist.

[15] He explained the second defendant's payment process as follows: the first defendant, in consultation with the accounts team, would generate a list of the second defendant's creditors. That list would then be circulated to other directors for information purposes only. The same list would enable the witness to assess the working capital necessary to facilitate payments. He testified that initially, the accounts team would initiate payments to the bank, and all such payments were authorised by the first defendant. As for him, he would authorise payments in rare circumstances, including times when the first defendant would be absent.

[16] He added, further, that all cash payments made to the second defendant were collected from cashiers by the accountant daily. After collecting and counting the cash, they would then reconcile it with the system and make it available the following day for payments to suppliers. In such instances, the first defendant would either direct that the money be deposited into bank accounts or, in some instances, he would take the cash to pay the suppliers.

[17] He testified that between March into April 2024, the plaintiffs discovered a malpractice where there was a systematic and deliberate under receiving of products which was concealed through inflation of prices of the unit costs of the received items. At the point of payment, he stated that one would simply look at the receipt amount, which would be in tandem with the goods received voucher amount. It was his evidence that about US$15 000 was misappropriated through this *modus operandi*. He testified, further,

that the second *modus operandi*, which was discovered involved the generation of fictitious goods received vouchers without supporting invoices. These goods received vouchers were generated by the first defendant.

[18] He stated that in respect of such goods received vouchers, the product was never recorded in the security registers where every delivery was recorded and the identity could not be determined even up to the time of the trial. Further, two suppliers, with goods purportedly worth slightly more than US$5 000 each, had not collected their order amounts even if it was now over a year since the transaction.

[19] Relying primarily on documents relating to an order from a company called Pharmaceutical and Chemical Distributors (PCD), he testified that the goods received voucher reflected a total of US$11 399. 97. He pointed out that *prima facie*, the figures were balancing, but on closer inspection of both the invoice and the goods received voucher, one would discover that fifteen units of a product called Levetiracetam had been delivered, but zero were received. Similarly, in respect of a drug called Omeprazole, the invoice showed that fifty units of this drug had been delivered, yet zero were received. To compensate these shortcomings, the unit costs were inflated on the goods received vouchers with a total prejudice on the invoice amounting to US$933.25.

[20] The first plaintiff stated that the goods received vouchers were captured on a pharmaceutical electronic system known as ProPharm, and once the details on the goods received vouchers had been captured, that goods received voucher could not be manipulated.

[21] He produced documents relating to another order from PCD delivered to the second defendant. He testified that a comparison between the invoice and the goods received voucher would show that some twenty-four FML eyedrops and fourteen 100ml bottles of Ciprobay suspension, which were on the invoice, had not been received on the goods received voucher. The amount on the goods received voucher balanced to the invoice amount because the unit costs were manipulated. The total invoice amount was US$6 193.52, and there was a nine percent discount amounting to US$557.42. The unit price of the products was US$8,20 and with the nine percent discount, it should have come to US$7.46, but it was instead captured as US$7.67.

[22] The first plaintiff produced another invoice from New Avakash International. He illustrated that twenty rabies human vaccines on the invoice had been ticked as received by a security guard called Biggie, yet the goods received voucher showed that only

fourteen vaccines had been received, therefore the drug was under received by six vaccines. The goods received voucher was balancing as a result of manipulation of unit costs.

[23] Through this process, the first plaintiff indicated, a total of USD$15 621.37 had been siphoned.

[24] In respect of the second manner through which money was siphoned by the first defendant, his evidence was that this was through payment to fictitious suppliers identified as Varichem Kuda, Varichem Martin, and Varichem Cosmas. Through inspection of the security registers where all items received in the pharmacy were recorded, the particular goods received vouchers were not reflected as goods received on the particular days shown on the vouchers. The first plaintiff had carried out alternative processes to try and identify these suppliers, but these processes were futile as these suppliers did not exist.

[25] It was the first plaintiff's testimony that the second defendant siphoned US$284 036.21 through these fictitious payments and there were no invoices which summed up to that amount. This, he testified, put into question whether these were valid transactions. After discovering these malpractices, the first plaintiff testified, he called for a meeting on 16 March 2024 with the first defendant at Holiday Inn Mutare. In that meeting, he presented evidence which included the under receiving of products and the generation of fictitious invoices. It was his evidence that the first defendant expressed shock at having been caught out and indicated that there was a breach of loyalty. Because neither party wanted to go into the public domain, they took the view that a forensic audit was not necessary as it would result in the information getting out, so the parties eventually agreed that the first defendant would restitute the loss. Knowing fully well that the level of prejudice was higher, the first plaintiff asked the first defendant how much he thought the breach stood at, at which time he had indicated that it was approximately US$40 000. In consideration of the fact that the parties were partners, they agreed he would sign a restitution agreement for US$40 000, which the first defendant thought was the amount owed, although the first plaintiff knew it was more.

[26] The US$40 000 was to be paid from the first defendant's share of the dividends. It was consequently paid.

[27] The first plaintiff testified that after signing the restitution agreement, on 29 April 2024, the first defendant wrote to the second defendant and the plaintiffs, making known his intention to sell his shares as per the shareholders agreement. It was at this point that

the plaintiffs reminded the first defendant of the restitution agreement, and that if he intended to sell his shares, they would have to institute a forensic audit to independently determine the amount of the prejudice which would be considered in the purchase of his shares. To this end, the second defendant appointed a company called CapVest to conduct the forensic audit. The first plaintiff expressed the first defendant's refusal to cooperate with the audit process. The audit report is part of the record.

[28] The audit report birthed criminal charges laid against the first defendant, and he was placed on remand at Mutare Magistrates Court. The first defendant applied for bail, which was however denied. He was then released from prison on 2 July 2024 on the basis of a tripartite agreement between the parties' legal practitioners and a guarantor. At this stage, the first defendant was represented by Bere Brothers.

[29] Upon his release, the first defendant invited a meeting with the plaintiffs, which was held on 3 July 2024. The meeting was attended by the first defendant, his wife and the two plaintiffs. The first plaintiff testified that the first defendant was neither ill nor disoriented during the meeting. The plaintiffs had known him for seven years, and there was nothing unusual about him, neither were they informed about the first defendant being unwell. He testified that the meeting was normal and the parties had clear, logical, and constructive discussions.

[30] The first plaintiff disputed being responsible for calling for a meeting soon after the first defendant's release from remand prison, although he admitted to have drafted the minutes of that meeting and having subsequently shared them with the other shareholders.

[31] He stated that the parties held a subsequent meeting, on 5 July 2024, which was at his instance, reason being, several issues arising needed to be clarified in a follow-up meeting. It is at this meeting he first heard of the first defendant being disoriented. With regard the tripartite agreement, he testified that the agreement had been between the second defendant, the plaintiffs' erstwhile legal practitioners, Maunga and Maanda, and the first defendant's legal practitioners, then Bere Brothers.

[32] At the time the first defendant's wife alerted the plaintiffs of the first defendant's illness, and she posted a prescription dated 4 July 2024 on their WhatsApp group. The first plaintiff reiterated that the first defendant was represented during the bail proceedings by Bere Brothers Legal Practitioners and no threat had ever been issued to him.

[33] During cross-examination, the first plaintiff indicated that he would receive daily reports from the system, although his interest lay in stock, debtors, creditors, cash position,

and an understanding of who the second defendant was paying for transparency. He indicated that he authorised payments. He stated that there was a sufficient level of trust within the business, a list of payments required would be produced and once such a list was produced, he would be convinced that there was a need for payment. To him, the circulation of the list was sufficient, and only on rare occasions would he request for creditor reconciliations. He denied that he would authorise payments after being satisfied that all the requisite documents, including invoices, were present because he had confidence that any supplier who was being paid was being paid on the basis that goods had been received.

[34] He maintained that the day-to-day operations of the second defendant fell solely in the hands of the first defendant, and it was during rare occasions that the other directors would be involved in authorisations. On the first defendant's appointment as an executive director, the first plaintiff stated that the first defendant was the sole supervising pharmacist in accordance with the Medicines Control Authority of Zimbabwe ('MCAZ') regulations. This, therefore, made him the executive director. He admitted that the duties of all the directors were outlined in the shareholders' agreement, but was quick to point out that this was a preliminary arrangement because the first defendant had joined the second defendant as a supervising pharmacist in terms of an email which was neither produced in court nor discovered by the parties.

[35] He confirmed that clause 2 of the shareholders' agreement clearly stated that the first plaintiff would be the general manager responsible for overseeing the daily operations of the second defendant while the first defendant would serve as a local pharmacist. He further confirmed that clause 12 of the shareholders' agreement stated that any changes to the terms of the agreement could only be in writing. He accepted that there were no other changes to the shareholders' agreement but stated that it was a fact that since the second defendant's inception in August 2017 to the date of suspension by MCAZ, the pharmacist's licence that was operating was of the first defendant, who was also the supervising pharmacist. This, he added, was a purely administrative housekeeping issue.

[36] He disputed that the second plaintiff never abandoned her supervisory role and continued to supervise the pharmacy even after the plaintiffs had opened the Downtown Pharmacy (also referred to by the parties as Clique Downtown Pharmacy). He stated that the first defendant's counterclaim (which he later withdrew) had clearly stated that the first defendant was appointed as the managing director and supervising pharmacist of the

second defendant. From September 2018, the second plaintiff was the supervising pharmacist at Murambi Pharmacy and thereafter, she was the supervising pharmacist at Downtown Pharmacy from sometime in 2021 therefore, she could not have held two roles at the same time.

[37] He repeated that he had discovered that there was under receiving of stock items and that under receiving was concealed through the manipulation of cost prices in order to balance the goods received voucher balance to the supplier invoice balance. He reprised discovering fictitious suppliers who were purported to have delivered goods yet there were no such deliveries and the existence of those suppliers could not be ascertained. He disputed that he was lying that he discovered the malpractices in March 2024 because in their meeting in April 2024 he did not disclose these malpractices. He insisted he had told the first defendant the two methods through which funds were being siphoned, and because the malpractice spanned from 2021 to 2024, it was not practical that the entire exercise could have been done between the discovery and the discussion.

[38] He also disputed that he did not make any discovery but he was just unhappy after discovering that the first defendant was no longer interested in working with the plaintiffs. He admitted that the plaintiffs had opened a pharmacy which they exclusively owned. He disputed that this pharmacy used to take drugs from the second defendant, stating that the pharmacy bought drugs at landed cost from the second defendant because the second defendant enjoyed discounts for the huge volumes of drugs it was purchasing. Upon being directed to a document showing write-offs on payment for drugs taken to Downtown Pharmacy, he could not confirm these were write offs on payments for drugs taken to Downtown Pharmacy, insisting that he doubted that the document was genuine. When he was presented with a document which showed that the second plaintiff's footprints in the second defendant were very much pronounced, he refuted this with his head down, stating that at no point did the identifiable computer station numbers get to 80, the document in question, he stated, indicated the computer station number as 87, so, there was never a write off and the second plaintiff never had access to the computer station.

[39] He disputed making the working environment toxic by falsely accusing the first defendant of misappropriating funds, as well as falsely accusing him so as to force him to continue working in the second defendant. He further disputed imposing the figure of US$40 000 in the first restitution agreement because the first defendant had signed the document. He denied that the figure was not based on any investigation but was meant to

restrain the first defendant from leaving and that the first defendant signed the agreement not because he had misappropriated any funds but wanted to peacefully part ways with the plaintiffs.

[40] He disputed engaging auditors after the first defendant expressed his intention to sell his shares in the second defendant and this having been meant to frustrate the first defendant's intentions to open his own pharmacy. He denied that the goods received vouchers had been manipulated to suit his narrative, stating that the ProPharm system, on which the goods received vouchers were generated, could not be manipulated. He could not comment on two invoices which bore the same number but different assistants, one in the name of the second plaintiff and another in the name of the first defendant and indicated that the supplier was Varichem Cosmas. He also disputed that at no time was a company called Ubuvuzi (Pvt) Ltd the second defendant's supplier as shown on some of the invoices the first defendant cross-examined him on. On being pressed further, he stated that Ubuvuzi was registered with City Medical ('City Med'), a South African Company from which they would purchase non-scheduled items which were not drugs. He professed, on one or two occasions, purchases would be made through Starmed which was registered in Zimbabwe, who in turn would take products from City Med. One would see that drugs were purchased from Starmed, but never Ubuvuzi, as this was proscribed by MCAZ. He denied ever importing drugs from South Africa. He dismissed as baseless the allegation that he had a company in South Africa through which he bought drugs using pseudonyms like Varichem Kuda, Varichem Cosmas and Varichem Martin to cover illegal dealings so that MCAZ would not detect them. Responding to emails dated 2020 and 2021 relating to purchases from Ubuvuzi- the first plaintiff indicated that the emails predated the period under review and secondly, the emails did not relate to purchase of drugs but items like lotions which were sold in the front shop.

[41] He admitted that payments were made to suppliers known as Geddes, who was a supplier just like PCD and New Avakash International. He was asked to clarify what he meant in one of the messages in the second defendant's WhatsApp group to the effect that Geddes needed to be handled carefully, to which he said he could not recall, but stated it could have been that the amounts were not within terms.

[42] When it was put to him that Geddes was a pseudonym for 'runners' who bought products from South Africa on behalf of the second defendant, he responded that it was the first defendant who was actually clarifying their status because the first plaintiff did

not know registered and unregistered products. While he admitted that the security guard's register confirmed receipt of items from Geddes Adam and a Kuda, he stated that the goods received vouchers captured and printed by the first defendant were not on record- there was no confirmation of receipt and the authenticity of the suppliers could not be confirmed.

[43] He denied that the plaintiffs did not upload all the security guards' registers, stating that all the registers were accounted for, and in the event that there were missing registers or some registers were not accounted for, they should have been able to go to the suppliers to confirm the deliveries. They could do so for PCD, but that could not be done for Varichem Kuda, Varichem Cosmas, and Varichem Martin.

[44] He further denied that he had access to the ProPharm system and stated that if he was ever given a password as a director but never used it, he did not know. He challenged the first defendant to produce Varichem Kuda, Varichem Martin and Varichem Cosmas if they indeed existed. He admitted that the first defendant was only released from remand prison after the plaintiffs consented to his release per the tripartite agreement. He stated that he could not say that the first defendant was only released from custody after eight days, per the plaintiffs' consent. He confirmed that the first defendant was not a signatory to the tripartite agreement, that it was signed while he was in custody, and that he was communicating with his relatives, but at their instigation. He denied that he had indicated to the relatives that the matter could be resolved if the first defendant parted with his immovable property.

[45] He admitted that he had indicated on a WhatsApp group that he wanted the first defendant to admit to fraud, that his failure to admit was dragging the conciliation and that negotiating with him without him admitting was a waste of his time. He admitted, further, that the first defendant's admission was key to any negotiations. He also admitted that he concluded that the first defendant's lawyers' questioning of the stock taken to Downtown Pharmacy was counterproductive.

[46] He accepted that the first defendant sent him a message at 2254hrs of the same day he was released from remand prison, and that it appeared that a message drafted for him by one Washington Dengu, who was mediating between the plaintiffs and the first defendant, was somewhat similar. He also accepted that there were indications that the first defendant was not well, but he received that information much later. He was not aware that when the parties had the meeting on 3 July 2024, the second defendant was disoriented but the first

defendant had been advised by the negotiators to express his gratitude to the plaintiffs soon after his release.

[47] He disputed that the meeting was conveniently held in the absence of legal practitioners because he knew that their presence would derail the process he had started, stating that the meeting was instigated by the first defendant, who had access to his lawyers soon after his release. From the first plaintiff's standpoint, if the first defendant had wanted the lawyers to be present, the plaintiffs would have complied. He disputed that, having been in custody for eight days and subsequently released at the plaintiffs' instance, the first defendant's negotiating capacity was not at the same level as that of other directors. He further disputed that the first defendant's fears of incarceration should he fail to stick to the conditions of his release constituted undue pressure and duress capable of vitiating the minutes of that meeting. He also disputed that he called for another meeting on 5 July 2024, knowing that the first defendant had collapsed and the medication prescribed to him was affecting him. He stated that this message only came in the afternoon, and the meeting had been held in the morning.

[48] On the issue of auditors, he stated that the auditors were appointed by the majority shareholders who were not conflicted in the matter. The first defendant was informed that the matter was subject of forensic investigation and he could not participate. There was no procurement done but the process was done using knowledge of the industry in a manner to minimise costs. Due diligence was done through seeking quotations, but the quotations were not on record because that issue had no bearing on the quality of the audit report, and the production of quotations would not have changed the outcome of the audit report. He denied that he had prior knowledge of CapVest and that he had worked with one Zed Mupoperi, who was involved in the audit. He confirmed that the audit report stated that it did not comply with generally accepted standards of audit, but explained that there is a difference between a statutory audit meant to comply with generally accepted accounting principles and a forensic investigation, which was conducted in this instance, as stated in the report. What the author of the report was simply saying was that the audit was not a statutory audit but a forensic audit.

[49] He confirmed that they would do stock takes in the second defendant, but these were on a selective basis, not full stock counts, and were done by the first defendant.

[50] The first plaintiff denied declaring war on the first defendant for opening his own pharmacy, and stated that rather, the application to interdict the first defendant from opening his own pharmacy was as a result of a violation of the shareholder agreement.

[51] On re-examination, the first plaintiff clarified the following- the first defendant was the supervising pharmacist, and he was responsible for ordering stocks. In one of the emails, the first defendant had stated that he was forced to step down as the pharmacist in charge. The plaintiffs' claim did not relate to Geddes Kuda, Geddes Martin or Geddes Cosmas but it related to Varichem Kuda, Varichem Cosmas, and Varichem Martin, who did not appear in the security registers. He had sent an email to Varichem Pharmaceuticals, which confirmed having a Kuda in its employment, but not at the period under review. The forensic audit had been informed by the need to determine the actual value of prejudice against the value of shares for the parties to offset the bill and part ways. Two licences had been cancelled by MCAZ- one for the first defendant because the first defendant was responsible for the day to day running of the second defendant, and another for the second defendant. Payments were not generated on the ProPharm system but it was just for stocks. Further, the first defendant sometimes authorised payments and he would collect some cash payments.

Clever Gapara

[52] He was employed by the second defendant as an accountant until it was closed down in August 2024. His work entailed checking invoices and amounts due on the ProPharm system and circulating the list of creditors on the second defendant's WhatsApp group for a decision on payments to be made based on the available funds. He would run a creditor aging analysis on the system, which would inform him who was due to be paid. The creditors information was inputted by the first defendant. The goods received vouchers were uploaded by the first defendant. Payments were either in cash or through the bank.

[53] This witness testified that Varichem Kuda, Varichem Martin and Varichem Cosmas existed in the second defendant's system. They were paid in cash. Cash was being handled by the accounts clerk called Daniel Nyakambangwe. There were instances where the first defendant would sign for the cash on behalf of suppliers. He stated that in the absence of a goods received voucher, payment would only be initiated and authorised if it was a prepayment.

[54] On being cross-examined, the witness confidently stated that Geddes referred to suppliers who were like 'runners' and were mainly cash suppliers who would deliver items to the second defendant. He stated that because they were 'runners', they had to be handled differently or in a certain way. They were not corporates but individuals. He was non-committal on their source of medications, but he stated that he would not say they were South African 'runners' *per se*. He testified that he did not have sight of invoices from these 'runners', although there were a few instances where they would get invoices from these 'runners'. He confirmed that there were medicines they used to procure from South Africa, and one of their 'runners', Billy, would get medicines from CityMed in South Africa.

[55] He confirmed that he knew of Varichem Kuda, Varichem Martin and Varichem Cosmas and that their names were being processed in the second defendant's system.

[56] He confirmed that the security registers that had been availed were not the only ones for the period covered by the claim, and some were missing. He stated that the accounts team, till operators, and dispensary personnel had access to the ProPharm system, and that once a transaction had been entered into the system, it could not be manipulated. When he was shown one invoice which had been purportedly generated by the first defendant in one instance and by the second plaintiff in another, he stated that such a scenario was one of its kind and that he noted that the goods received voucher had been manipulated to that extent.

[57] He stated that they would never do a full-blown stock take but they would physically count stock in the pharmacy. If there were any variances, they would inform the first defendant.

[58] When he joined the second defendant, the 'runners' were initially being transacted as Geddes Kuda, Geddes Martin and Geddes Cosmas before they were changed to Varichem Kuda, Varichem Martin and Varichem Cosmas as a way of 'shielding' or 'protecting' the second defendant from MCAZ inspections because MCAZ proscribed procurement of drugs through individuals. He confirmed authorisation of a certain payment to Varichem Kuda after the relevant discussions on the second defendant's WhatsApp group, which discussions included the first plaintiff. He stated that he had never dealt with Ubuvuzi.

[59] On re-examination, he stated that Billy would get items from City Med. He reiterated that he did not know Ubuvuzi. He stated, further, that there was a difference between Starmed and City Med.

Michelle Rumbidzai Ringoziva

[60] She is an IT specialist employed by Wild Tech Solutions, the suppliers of the ProPharm system. She testified that the ProPharm system was a pharmacy software with four modules, including Stockwin, which was used for receiving stock and stock maintenance, and the RX win module for dispensing drugs when someone came in with a prescription. She testified that invoices were received under the Stockwin module and that once you had saved anything in the system, you could not alter it.

[61] She stated that they had all the information relating to the second defendant in the server. The information showed the date and time information was saved in the server. In the systems backup information, there was no record of Ubuvuzi supplying goods on 26 October 2022, but they had the same invoice number 0006195 for US$19 955.01, having been supplied by Varichem Cosmas on the first defendant's order. She did not have a comment on the authenticity of the goods received voucher relating to Ubuvuzi because Ubuvuzi was not in the system.

[62] During cross-examination, she insisted that the system could not be edited. She stated that the goods received vouchers were kept in Stockwin. It was in the Stockwin module that one could edit the supplier details if they had the editing rights. It all depended on the pharmacy setup and on who they would have given those rights. She stated further, that there was scope in the system to edit the supplier address or any changes with the supplier if the pharmacy intended to maintain that supplier.

[63] She was asked to demonstrate that a change could be made in the system through the maintenance portal under the Stockwin module. She was asked to click on the creditors, which she did. She was then asked to select any creditor, and Adam was selected. She was asked to take the court to the window where information on Adam could be added, which she did. She was asked to delete the name Adam and replace it with Kuda, which she did. She was asked if she could save that information, and she replied in the affirmative. At this stage, the information relating to Adam would have been edited and saved under Kuda. She stated that there would still be a record that she edited Adam to Kuda, but the system developers had access to that. She could not comment on what the edited document would show if it was printed at that moment. She maintained that the information on the goods received voucher could not be changed.

[64] She stated that the details of the assistant who uploaded the information could be accessed through the RX Win module. Access could be made by an assigned category. For someone else to access, it would require that person to override the password for the category, then the manager. As one progressed in the system, the system prompted for passwords. These passwords were in categories set by the second defendant to say this was the assigned assistant, and this was their assigned category and their area of control. She admitted that one could change the assistant code and assistant name once they bypassed the passwords.

[65] On being asked if, once the information is saved, it remains saved per the changes made, she stated that the contents of the saved record remained the same. On being pressed that the information could be changed, she then stated that she had never done that, so she would not know and she could not do so for fear of tampering with the system. She testified that the information she was referring to was on the second defendant's server and that the information on the database was inputted by a person with a password. The information on the system could only be changed by a person who was live in the system, but one could edit the information on backup.

[66] In re-examination, the witness stated that the station number could not be changed, and any such changes would not have been generated from the system. She stated that the contents outside the supplier's details could not be changed, and the prices on a goods received voucher could also not be changed. When asked if they were the ones who installed the system, she stated that there were two service providers of the system, Con Tech and Wild Tech. The system had been installed by Con Tech.

Thompson Mucheki

[67] He is a certified fraud examiner who carried out the forensic investigation at the second defendant sometime in May 2024. He holds a Master's degree in counter fraud and counter corruption studies from the University of Portsmouth, and a diploma in Criminal Justice and Forensic Investigation from the University of Johannesburg. He previously worked in the Zimbabwe Republic Police as a detective in the serious frauds squad and at PricewaterhouseCoopers (PwC) carrying out forensic investigations.

[68] He testified that the auditors looked at documentation which included invoices from suppliers, goods received vouchers generated within the second defendant, and the security registers. The auditors noted variances between goods received vouchers

generated using the ProPharm system compared with the invoices. These variances emanated from what the auditors deemed to be an under receiving of stocks totalling US$15 621.37. These goods received vouchers, he stated, had been generated by the first defendant.

[69] The investigators also came across some goods received vouchers that were not supported by invoices and were not in the security registers styled Varichem Kuda, Varichem Cosmas, and Varichem Martin. These totalled about US$284 036.21.

[70] The witness testified that the auditors had invited the first defendant for an interview. The witness stated that the first defendant had come but had said he was not going to participate or sit down for a discussion. He would only respond after seeing the report. The report was completed on 30 September 2024, following which it was shared with the client.

[71] During cross-examination, the witness stated that he conducted a forensic investigation, not an audit, since he is not a chartered accountant. He stated that he was qualified to conduct a forensic investigation. He stated that during the investigation, he did not have access to all the security registers, and other registers were missing. He could not comment on whether or not the information on goods received vouchers was contained in the missing registers because he had not had sight of those registers. He was referred to various entries in the security registers, which he confirmed proved deliveries from Kuda, Martin, and Cosmas. He also confirmed some instances where goods were received from Martin, Kuda, and Cosmas, but there were no invoices. He confirmed entries in the security register showing receipt of medicines from an undisclosed supplier, and that there was a goods received voucher which contained similar medicines under the name Cosmas for US$19 955, the two differences being drugs called Esomeprazole and Dapagliflozin, which were appearing on the goods received voucher but were not in the security register. On being asked why he was saying there were fictitious goods received vouchers under those circumstances, he responded that on the goods received vouchers, the supplier appeared as Varichem Cosmas, yet in the security register, it was indicated as Cosmas.

[72] He stated he found it difficult to ascribe the goods received voucher to entries without a supplier name in the security register. He stated, further, that the goods received voucher should be accompanied by a corresponding invoice and security register entry. He, however, confirmed that there were goods received vouchers for goods received without invoices. He stated that they did not take stock of all the second defendant's suppliers, but

they received a listing from which they then selected those who had issues. He could not dispute that the second defendant had 63 suppliers, but stated that they had listed 12 suppliers whom they felt had issues. He disputed that they intentionally picked these suppliers because they matched the figures the plaintiff wanted. He stated that they had requested for the contact details for Kuda, Cosmas, and Martin, but they could not get them. He confirmed that there were payments relating to this trio which had not been processed by the first defendant, but they had settled for those with issues. He denied that he was acquainted with the first plaintiff. He stated that they had looked for the invoices relating to the goods received vouchers that did not have accompanying invoices, but they could not find them. On being asked how the absence of invoices conclusively proved that the goods received vouchers were fictitious, he stated that that was one of the reasons why they were saying things were not being done properly in the second defendant, because goods could only have been received on receipt of an invoice accompanying the goods. They did not compare the stock on the ProPharm system with the stock in the second defendant pharmacy because that would have jeopardised their independence as reviewers of a system.

[73] On being re-examined, the witness clarified that the figures he had been referred to by the first defendant's counsel were not part of the plaintiffs' claim. Similarly, there were certain drugs which were missing from the US$19 955.01 goods received voucher, such that there was no basis to assume that the goods were received from Cosmas. He stated that invoices were not uploaded on the ProPharm system. Invoices were kept on file in physical form.

[74] After Thompson Mucheki's evidence, the plaintiffs closed their case.

THE FIRST DEFENDANT'S CASE

[75] Eight witnesses gave evidence in support of the first defendant's case, namely the first defendant himself, Benhilda Chiutsi, Samuel Tinashe Maenzanise, Wellington Mazambani, Washington Dengu, Dr. Sabastine Madamombe, Dr. Tarzen Mugadza, and Dr. Prudence Mhlanga. The key aspects of their evidence are summarised hereunder.

Douglas Nzombe Chiutsi

[76] He testified as follows- the plaintiffs and his duties were clearly articulated in the shareholders' agreement and cemented through a subsequent email sent in November 2017. He was a pharmacist in the second defendant, while the second plaintiff was a

general manager responsible for the day to day running of the second defendant. The second plaintiff was responsible for orders, and no order would be processed without another party countersigning. No orders would go through without the plaintiffs' express approval. The first plaintiff would authorise all payments.

[77] He testified that the first plaintiff was involved in the day to day running of the second defendant, including even the smallest of transactions. The first plaintiff knew everything; he knew how the second defendant operated and was responsible for daily cash banking and all payments. The witness referred to messages on the second defendant's WhatsApp group in which the first plaintiff was participating as proof of his involvement in the second defendant. He testified that the accounts team, before making any payment, would look at the supplier invoice and the goods received voucher, which was proof that whatever stocks were received were inputted onto the ProPharm system.

[78] He testified that all products which were not procured locally were procured under Varichem Kuda, Varichem Cosmas, and Varichem Martin. These suppliers were originally prefixed as Geddes but were later changed to Varichem. This procedure and these suppliers were known to all the directors. He testified that all the directors were responsible for any malpractice in the second defendant.

[79] He testified that no loss had been suffered by the second defendant, but the shareholders had a business dispute in January 2024 over profit-sharing calculations. The plaintiffs had opened a pharmacy in downtown Mutare called Clique Downtown Pharmacy in breach of the shareholders' agreement. Since 2020-2021, when the pharmacy had been opened, the plaintiffs were taking stock from the second defendant without a board resolution. He had a discussion with the plaintiffs sometime in January 2021 to the effect that they had taken stock from the second defendant but had not paid for it, so that stock should be part of their profits, and he would get his share based on that calculation. This did not go down well with the plaintiffs, leading to a fallout between the parties, which was subsequently resolved through mediation by some senior doctors in Harare. After this fallout, the first defendant testified that the work environment became toxic. He made a decision to open his own pharmacy without the plaintiffs' knowledge. The relationship between the parties became worse when the plaintiffs eventually got wind of the first defendant's decision.

[80] The first defendant stated that he made a decision to open his pharmacy because the infighting had become too much. He stated that the first plaintiff came with a series of

allegations against him, which he objected to, but because he had his licence in the second defendant and he wanted the parties to part ways peacefully without creating a scene, he gave in to the first plaintiff's demands for US$40 000, which was to be deducted from his share of the profits. He testified that he thought the amount was good enough for the parties to part amicably, although it had been plucked from the air by the first plaintiff.

[81] The first defendant stated that the first plaintiff did not take kindly to his resignation, stating that the first defendant had declared war by resigning presumably because he was the face of the second defendant and had built a very good name in Mutare. He testified that the plaintiffs never expected him to leave. He testified, further, that he had written a letter to the plaintiffs proposing that they purchase his shares in the second defendant, which letter was not responded to.

[82] With regards an inspection done by MCAZ to which he had written a response, he testified that he did what he was expected to do as a supervisor of record. The directors had agreed to work together to fix the MCAZ issues, and his response was on the basis of input from all the directors. He confirmed his refusal to participate in the audit because at the time, he was still a shareholder and a director but there was no board resolution to engage the auditor. In his view, coming to rubberstamp a pre-determined outcome was not in his best interests and he had highlighted this to the plaintiffs.

[83] He testified that he was arrested on 24 June 2024 around 5am on the eve of opening his own pharmacy which he admitted was very close to the second defendant. He was arrested by police officers from Highlands Police Station in Harare. He testified that the second defendant operated just 20 metres away from a police station in Mutare, but the first plaintiff used his connections to report him, and he was immediately arrested so that he would not open his pharmacy. At that time, the first defendant testified that the audit had not yet been done but it was said it would be produced in four days' time. He testified that he was arrested on a preliminary report that was not shared with him. The audit report was not produced at that time, but was only produced on 30 September 2024, the same day the plaintiffs sold the second defendant.

[84] He testified that he was only released on 2 July 2024 at the mercy of the plaintiffs after he had been denied bail at the magistrates' court and was awaiting hearing of his appeal against refusal of bail in the High Court. He stated that the plaintiff's lawyer, a Mr Passmore Nyakureba, had visited him at remand prison and told him not to 'disappoint' as he had done everything in his power to give the first defendant his freedom. The

impression he got was that the lawyer had talked to the plaintiffs, and the first defendant was supposed to negotiate with the plaintiffs. Without negotiation, there was no real freedom for him.

[85] Soon after his release, there was a WhatsApp group in which he, the plaintiffs, and a mutual friend, Washington Dengu, were members. Washington Dengu called him and told him he had at one time travelled to Mutare while he was in remand prison, but he failed to see him. He had intended to negotiate for his release, talk to the plaintiffs and the first defendant so that they could find a common ground. It was the first defendant's evidence that Washington Dengu had told him that his freedom was more important than anything else, and he had encouraged him to secure his freedom first, and everything else would follow. The first defendant testified that he had told Washington Dengu that the conditions in prison were very rough and that he would do everything possible so that he would not get back into prison. At the first defendant's request, Washington Dengu drafted a message on WhatsApp explaining what he had told the first defendant, which the first defendant forwarded to the plaintiffs.

[86] The first defendant told the court that he had spent seven days in prison and at the time, the prison was overcrowded with machete gangs. He was happy to be out. His feet were swollen and from his third day inside remand prison, he was prescribed Diazepam, a sleeping tablet, because he was failing to sleep. He testified that he was not well physically and mentally when he was released, but he was advised to attend the meeting with the plaintiffs so that he could resolve 'his issues'.

[87] He testified that on the day he was released, his wife had called the family doctor, Dr. Mhlanga, to ask if he could see the first defendant, but upon being advised that the first defendant was taking Diazepam, which was a muscle relaxing drug, Dr. Mhlanga stated that there was no need to see the first defendant that day. On 3 July 2024, the first defendant had gone to see Dr Mhlanga before attending the meeting with the plaintiffs in the afternoon. Initially, it was the first plaintiff and the first defendant in the meeting. The second plaintiff joined a few minutes afterwards but because the first defendant was constantly breaking down and crying, his wife had to be called in to support the first defendant. The first defendant stated that during the meeting, he kept on crying and apologising. He stated that the first plaintiff would not entertain any contribution from him and that to him, it was a meeting to show authority and power over him.

[88] He stated that in the meeting, he was clearly not well. More than twice, he rolled on the floor and held on the second plaintiff's legs, crying and asking for forgiveness. In his entire life, the first defendant had never attended a meeting crying. The first defendant testified that the first plaintiff indicated that the process had to be done sooner, so that the impasse could be resolved hence the meeting continued. He was not contributing much.

[89] His understanding was that the meeting was a foundation for talks and whatever the parties were discussing were just drafts, including the minutes, which were later circulated, as there were other issues that needed to be addressed, such as the fact that he bought the second defendant for US$700 000 and that he put his house up as security. He testified that on the WhatsApp group, he was not speaking to the plaintiffs directly but through Washington Dengu, and the plaintiffs were doing likewise. Referring to a WhatsApp message where he was apologising for asking if the settlement would lead to the criminal charges against him being dropped, he testified that he had been warned prior that he was not sincere, he was arrogant and all he deserved was to be in jail so he had to be 'nice'.

[90] He testified that Dr. Mhlanga attended to him at his surgery. When he attended to him, he then called Dr. Madamombe, a psychiatrist. Dr. Mhlanga advised the first defendant's wife that he was not well and needed further treatment. He prescribed him an antidepressant, and Dr. Madamombe prescribed a sleeping tablet. The two doctors were subsequently requested by the first defendant's legal representatives to produce reports on their observations upon examining the first defendant when they realised that the plaintiffs were using the minutes of 3 July 2024 as proof that he had admitted to embezzling them of US$170 000.

[91] The first defendant testified that he was served with an *ex-parte* application for an interdict to stop him from opening his own pharmacy on the 28th of June 2024, while he was in remand prison. He was also served with an amended shareholders' agreement, which he was being forced to sign, while in custody. He testified that sometime in March 2024, he had been given a new shareholders' agreement which had certain offending sections, namely that if daily sales would go below US$3500, he would be automatically fired, and if he was fired, he would not be allowed to open a pharmacy in Mutare, Harare or Rusape for a period of two years. To the first defendant, this shareholders' agreement was a sign that there was no longer a relationship with the plaintiffs but it was just meant

to tie him so that he would continue working with them. He refused to sign the agreement, and this was a cue for him to open his own pharmacy.

[92] The first defendant testified that the second defendant would procure medicines locally and abroad from South Africa, the United Kingdom, and India. He testified that it was the second plaintiff's responsibility to procure medicines. The Varichem and Geddes prefixes were pseudonyms under which they used to procure all products that they could not get locally. The second defendant procured stocks from South Africa through Ubuvuzi (Pvt) Ltd, a South African company jointly owned by the plaintiffs.

[93] He dismissed the audit report as a sham which was done by the plaintiffs and handed to the auditors for stamping only. He stated that CapVest and Mr. Mucheki do not appear on the public auditors and accountants' board. He pointed out that the whole claim was meant to fix him – nothing was lost by the second defendant. To him, the first plaintiff took Varichem Kuda's invoices and goods received vouchers to Varichem Pharmaceuticals and asked them if they knew Varichem Kuda so as to create a paper trail to implicate the first defendant. Yet, the first plaintiff knew fully well that Varichem Kuda was independent from Varichem Pharmaceuticals.

[94] He stated that the proofs of payment to suppliers would show that the majority of the payments were not done by the first defendant but by the accounts staff. He testified that some suppliers would come to the second defendant after hours, and that is when he would be handed over the cash for ease of payment. The suppliers would sign upon receiving any money from the first defendant. He stated that the invoices recorded in the security register would sometimes show a price different from the one in the system because the price in the system would factor in transport costs.

[95] He testified that the goods received vouchers he generated from the system were exactly the same as the ones the plaintiffs used, but they only differed on the supplier's name, the assistant, and the station number. The editorials were made to create an impression that the medicines were never received. Through the ProPharm system, he demonstrated how the system's modules were used to trace a drug from its date of receipt, its stay in the second defendant, and its purchase by a patient or its transfer to Clique Downtown Pharmacy. He stated that by checking in the system and what was on the second defendant's shelves, one could conclusively deduce whether a certain product was actually received or not. He referred the court to a goods received voucher, which he alleged was done when he had already left, and this was proof of the manipulation meant

to tarnish him so that he would not operate his own pharmacy. He testified that they had a two-factor authentication process where he would capture the goods received vouchers in the system but they were then authorised by the second plaintiff, after which they would be saved in the ProPharm system before they could be sold.

[96] He stated that there was no under received stock in the pharmacy. Stock could only have been sold or taken out as stolen stock. Stock was taken by the plaintiffs to their own pharmacy, and this was sometimes done without any corresponding documents.

[97] He testified that the business had been sold to a third party on the 5th of September 2024 without his knowledge or consent, and he did not get anything out of it. His dividends and salary benefits were frozen in May 2024 when he resigned. To him, the plaintiffs wanted to use him like a 'goblin', continuously working hard for them and making money for them, but because he made up his mind to leave, they decided to maliciously prosecute him using their connections.

[98] During cross-examination, the first defendant was referred to an email from the first plaintiff dated 14 November 2017, which stated that the first defendant would send a list of drugs he required and the preferred supplier, while the second plaintiff and one Nasiline would look around for the best price and update him on where the drugs on order would be obtained from. This message was sent at 2034hrs. The first defendant was then referred to his own email sent on the same date at 2105hrs, wherein the first defendant stated items 1 to 7, which were in the first plaintiff's email, would be impossible because orders were placed depending on current stocks. He stated that at that moment, he would be responsible for all orders since they were doing hand to mouth, and the second plaintiff and Nasiline could always have their input.

[99] The first defendant was referred to his opposing affidavit in a matter involving the second defendant as the applicant, the first defendant as the second respondent, and Aroserve Management Consultancy (Pvt) Ltd as the first respondent. In that affidavit, the first defendant had sworn that he was responsible for stocks while the first plaintiff was responsible for all finances and payments and the second plaintiff was responsible for compliance and human resource issues. He was further referred to a counterclaim he had filed but later withdrawn in this matter in which he stated that he was appointed as the Managing Director and Supervising Pharmacist, entitled to a monthly salary of US$2 200. He stated that this had been written by his legal representatives, but admitted that they were representing him.

[100] He was asked to confirm a message he sent on the second defendant's WhatsApp group, where he indicated that there was need to pay a company called Neomid as they were holding the second defendant's order. Further, he was asked to confirm a message from Mr Gapara stating that there was need to prepare a payment for Datlabs following an order that was placed by the first defendant, and a subsequent instruction to discuss urgent payments that spoke to ordering of stock with the first defendant, as well as another message wherein the first defendant stated that Datlabs needed a prepayment for the order. The first defendant was referred to various other messages in which he would ask for proofs of payment and speak about orders. He confirmed that the second plaintiff was not part of the second defendant's finance group.

[101] He was asked why the first plaintiff would request for certain documents in order to approve a payment if he was responsible or involved in the day to day running of the business, to which the first defendant stated that the first plaintiff was asking for those documents from the accountants, and he would definitely ask for those documents to enable him to make an informed decision. He disputed that the request for those documents confirmed his oversight role, stating that the plaintiffs' counsel was just playing with words or not appreciating what those documents were.

[102] The first defendant confirmed that there was no payment he requested for Ubuvuzi. He confirmed that the recording for unregistered drugs was just the same as for registered drugs. He reiterated that MCAZ had serious problems with buying from unregistered sources or not following normal procedure- if drugs were being bought from South Africa, the second defendant was supposed to go through MCAZ, but that was not being done so the use of pseudonyms was meant to conceal this practice from MCAZ.

[103] He confirmed that there were certain entries that reflected Martin, Adam, Kuda without the Varichem or Geddes prefixes. He insisted that the letters to MCAZ in which he admitted having failed in his personal capacity to adhere to proper accepted standards had been drafted with the input from all directors. He maintained that Clique Downtown Pharmacy was taking drugs from the second defendant, which it was not buying but taking on cost, and even then, it would not pay for all the drugs. He stated that in January 2024, there was even a write off of almost US$15 000 at cost. The plaintiffs would do an interbranch transfer, but sometimes they would just take medicines and ask whoever was in the dispensary to record in the second defendant's books. He stated that the finance group was separate from orders, and his responsibility was to ensure that the second

defendant had stocks. He stated that he could not confirm that the plaintiffs only became aware of his intention to open his own pharmacy on 21 June 2024, as was stated in their *ex-parte* application for an interdict filed with the magistrates' court at Mutare on 28 June 2024, but insisted they caught wind of this way before then. If anything, the filing of those papers while he was in custody only went to prove the plaintiffs' vindictiveness, so the first defendant alleged.

[104] He confirmed that, according to the restitution agreement, he was the debtor. He conceded that he had not forwarded Washington Dengu's message as it was, but he had added his own words. He also conceded that, according to the message he sent to the plaintiffs, he stated that he was taking his wife to the doctor's. He stated that he was no longer sure whether Dr. Mhlanga had attended to him before or after the 3 July 2024 meeting. He, however, accepted that the correspondence from his legal practitioners stated that he had been attended to by Dr Mhlanga after the meeting. He also accepted that when the request for the doctor's report was made to Dr. Mhlanga, it created an impression that he had received the minutes of the meeting on 3 July 2024. He accepted that a copy of the minutes had been shared on the 4th of July 2024. He explained that Dr. Mhlanga had prepared the report a month or so after the 3 July 2024 meeting. He insisted that the version of events given to the doctor was the correct one. He also insisted that he got a prescription for Citalopram on the 3rd of July 2024, followed by a prescription for Fluoxetine on the 4th of July 2024.

[105] He denied that the request for the report was made because the assessment was non-existent, even though he confirmed that the report was only requested after the plaintiffs sued out summons against him. He denied that the request was prompted by the need for him to depart from his admission. He confirmed that he signed the minutes on 4 July 2024 in the plaintiffs' absence after he had indicated that he agreed with the minutes. He denied that his narrative that he was mentally incapacitated when he attended the meeting could not be sustained by evidence because it was clear that he wanted his freedom, the plaintiffs had his freedom in their hands, and the tripartite agreement had even been signed in his absence. He pointed out that some of the creditor invoices had incomplete information, like missing goods received voucher numbers.

[106] When he was being re-examined, the witness clarified that pursuant to the email exchange alluded to by the plaintiffs' counsel, the first plaintiff had sent another email at 2119hrs to cement that the parties needed to follow through the steps the first defendant

had raised issue with so as to remove 'clutter'. He had indicated that he would discuss with the second plaintiff. The effect of those points was that orders would be done by the accountant or the first defendant but only authorised by the plaintiffs. No order would go through without the first and second plaintiffs' approval. He stated that any pharmacy staff could place an order after that order had been approved or authorised by the plaintiffs. He stated, further, that he was not responsible for approving orders. He stated that he had just added flesh to Washington Dengu's message, but the message in its 'originality' was maintained.

Benhilda Chiutsi

[107] She is the first defendant's wife. She testified that prior to the first defendant's release from remand prison, there was a meeting that she attended with the first defendant's family members, namely his mother, three sisters, and two brothers. The other attendees were the plaintiffs, Washington Dengu, and Dr. Mugadza. She did not know who called for the meeting, but they had been called by Washington Dengu and Dr. Mugadza, informing the family that they had had a discussion with the plaintiffs.

[108] She testified that in the meeting, it was discussed that the witness and the first defendant would release their house to the plaintiffs so that the issue of the first defendant's arrest would be resolved. It was, however, discovered that it was impossible for the house to be transferred because the first defendant was the one who knew where the relevant documents relating to the house were. It was then concluded that the first defendant was the one with the capacity to discuss about the house. The first defendant was then released on 1 July 2024. When he was released, he was weak, he had no energy, and one side of his face was swollen.

[109] She was told by Washington Dengu that there was a meeting between the plaintiffs' legal practitioners and the first defendant's legal practitioners, and that it was out of the plaintiffs' sympathy that the first defendant was released.

[110] She was aware of the meeting of the 3rd of July 2024. It was attended by the plaintiffs and the first defendant, although she was later called in to assist and calm down the first defendant, who was crying, so that the meeting would proceed. She testified that the plaintiffs' legal practitioner, Passmore Nyakureba, told her that the meeting had to be done since it was non-prejudicial for them to do so.

[111] She testified that if she was not mistaken, the meeting was held between 1400hrs and 1500hrs. She did not know why the first defendant was crying, and she did not hear much, but the first defendant was denying the allegations being levelled against him, stating that the plaintiffs knew what happened. She did not really understand because she did not know how the parties worked.

[112] She testified that she had sight of the minutes of the meeting and that she signed them. She testified, further, that she had been told that these meetings were on a without prejudice basis and were not legally binding. All she wanted was for the matter to be resolved. It was her testimony that she sent a message on the WhatsApp group on 5 July 2024, updating on the first defendant's condition, because she wanted the plaintiffs to know. In the previous meeting, they had discussed that the first defendant would go to the doctors. She testified that the first defendant went to see a doctor on 4 July 2024, and on 5 July 2024, that is when the meeting was held.

[113] It was her evidence that the first defendant was being pushed by family and friends to attend the meeting, but as far as she was concerned, he signed the minutes unwillingly. She testified that people wanted the matter to be resolved quickly so that the first defendant would not be re-arrested and she personally pushed him so that he would not be re-arrested.

[114] During cross-examination, she stated that she was not aware that the first defendant had proposed to give the house as security for the debt after the 3 July 2024 meeting. She accepted that the first plaintiff had indicated that the minutes were to create a paper trail of the discussions and that there was still a need to conclude some issues, including the security for the debt. She stated that the first defendant had visited Dr. Mhlanga on the 3rd of July 2024 and that he was prescribed some medicines. She stated that the first defendant was attended to by Dr. Mhlanga on the 3rd, 4th, and 5th of July 2024. He was referred to a psychiatrist on the 4th of July 2024, and he went back to Dr. Mhlanga after the visit to the psychiatrist.

[115] She stated that on the 3rd of July 2024, the first defendant had seen the doctor in the morning. She was not aware that in a letter requesting a doctor's report, he had stated that he had met the doctor after the 3rd July 2024 meeting. She stated that she was the one who was driving because she was also going for a review by another doctor who operates at the same premises as Dr. Mhlanga. She maintained that she did not join the meeting but was only called in later. She maintained that the plaintiffs said they did not want the first

defendant to be arrested, but if he restituted with something tangible, he would be released and that is, when the issue of the house arose, although the house was not eventually given. The first defendant's family had been shaken and said it would do everything that the plaintiffs wanted so that the 'child' would be 'rescued'. Under the circumstances, the family did not have any problems with giving away the house.

Samuel Tinashe Maenzanise

[116] He worked for the second defendant as a cashier up until August 2024. His duties entailed getting a list of payments required from Clever Gapara, then getting cash for those payments from the first plaintiff, and then depositing the moneys into bank accounts. He would thereafter compile a summary of his activities on excel and share it on email. Mr Gapara used to get the list from the ProPharm system. He did not know all the suppliers, but he knew that there were products supplied by Varichem Kuda, Varichem Martin, and Varichem Cosmas, and these suppliers outlived the first defendant's stay at the second defendant. He would make payments to these suppliers because they existed.

[117] This witness testified that it was rare for the first defendant to make payments; he would make payments unless situations arose where the first defendant would be staying behind and he would be knocking off, whereupon he would leave cash with the first defendant.

[118] He worked at Downtown Pharmacy from 2021 to 2023. He testified that Downtown Pharmacy would get supplies daily from the second defendant through inter-branch transfers. Payments would be made, sometimes after a week, but they were always made. He explained that normally, a document such as the one on record referring to a $14 177.30 write off would be used when a payment would have been made. He was not sure if, in this instance, payment had actually been made.

[119] Upon being cross-examined, he disputed that he now worked at the first defendant's pharmacy. He confirmed that in his statement to the police, he had stated that some of the suppliers would come and collect cash from the first defendant.

Wellington Mazambani

[120] He worked as a security guard at the second defendant from August 2017 up to the time of its closure. He would receive goods from suppliers, check the expiry date, then record the date of receipt, the name of the supplier, the invoice number, the amount, and then a signature. He knew Varichem Kuda, Cosmas, and Martin as 'runners' who supplied some of the medicines. He testified that it was not possible to record goods that he had not

seen in his registers. He testified that there was a distinction between Varichem Pharmaceuticals and Varichem Kuda, Cosmas and Martin. He testified that the first plaintiff would come to the second defendant daily: he would see him, and they would speak. He had no knowledge of any fictitious suppliers. He confirmed making inter-branch transfers to Downtown Pharmacy using the IBT (inter-branch transfer) register, which was kept by Mr. Clever Gapara. He confirmed that the first defendant left the second defendant in May 2024, and after he left, supplies were still received from Varichem Kuda, Cosmas, and Martin.

[121] During cross-examination, he revealed that his direct supervisor was the pharmacist on duty, who was either the second plaintiff or the first defendant.

[122] I asked him how often the second plaintiff worked at the second defendant, to which he stated that each time the first defendant was off duty, the second plaintiff would come. He stated that she would mostly come almost every weekend on Fridays, Saturdays, and Sundays when the first defendant was not there, although she would sometimes come to assist the first defendant.

Washington Dengu

[123] He was in the same class with the second plaintiff and the first defendant at the University of Zimbabwe. He was aware of the first defendant's arrest, and he had stood as a mediator between the plaintiffs and the first defendant in a bid to amicably resolve their standoff out of court. In his bid to do so, he had engaged both the plaintiffs and the first defendant's family. The plaintiffs had indicated to him that the first defendant had stolen money from the second defendant and that they could be open to discussions and his release from prison if he was willing to return the funds he had stolen. The plaintiffs had insinuated that the first defendant had used the stolen proceeds to buy a certain immovable property, and consequently, they wanted him to transfer that property to them. At this point, the first defendant's family was desperate and willing to do anything at any cost to facilitate the first defendant's release from prison.

[124] He confirmed the meeting at Dr. Mugadza's surgery attended by him, the first defendant's family, including his wife, and the plaintiffs. At that meeting, the first plaintiff proposed an agreement between the plaintiffs and their lawyers on the one hand, and the first defendant and his lawyers on the other hand. The legal practitioners outlined a

framework under which the first defendant would be released from prison, and the issue of the stolen money would be resolved.

[125] He had been told by the first defendant's wife that upon his release from prison, the first defendant was not himself; he was feeling down, and she had taken him to see a doctor. The first defendant's wife told him that the first defendant had been prescribed some medicines, and she even suggested that the matter be handled through legal practitioners since the first defendant was not well.

[126] He testified that he had written a message to the first defendant encouraging him to dialogue with the plaintiffs for the purpose of negotiating and resolving their issues. He stated that he drafted a message which the first defendant forwarded to the plaintiffs.

[127] In cross-examination, he stated that he did not meet with the first defendant prior to the 3 July 2024. He stated that when the first defendant's wife told him that the first defendant was not himself, she meant that he was distressed, depressed and suffering from post-traumatic stress. He was informed that the first defendant was not eating, was always sleeping, and sometimes just sat alone, unwilling to engage in any conversation with anyone.

[128] He testified that his intention in composing a message for the first defendant to forward to the plaintiffs was to reconcile two friends and bring them to the negotiating table. He said that he was suggesting to the first defendant that he should show that he was willing to initiate the discussion as someone who knew what the plaintiffs wanted.

[129] This witness explained that during the meeting with the first defendant's family, it emerged that the second plaintiff was aggrieved that the first defendant was not giving her the right to practice the pharmacy profession, and that he was disregarding her despite being co-pharmacists, fellow directors in the business and the first plaintiff had invested in the business so that she had space to practice.

[130] It was alleged in that meeting that the first defendant would sometimes reverse some of her decisions at the second defendant. To Washington Dengu, the second plaintiff and first defendant had minor administrative squabbles that were resolvable. He stated that the second plaintiff insinuated that she would run the Downtown Pharmacy so as to avoid friction with the first defendant.

[131] Washington Dengu told the court that the plaintiffs were alleging that the first defendant had manipulated the system and, in the process, had prejudiced the second defendant of a significant amount of money. The plaintiffs felt that the money he took had

been used to acquire the immovable property. He stated that the first defendant had denied stealing any money, but he was seeking peace at any cost. He testified that he was not aware of the restitution agreement. He clarified that he composed the message to encourage the parties to come to the table after noting the grievances the plaintiffs had against the first defendant. To him, the message was not an admission of liability.

Dr. Sabastine Madamombe

[132] He is a qualified medical practitioner with a Master's Degree in Psychiatry and a Diploma in Mental Health. He knew the first defendant through the profession as a pharmacist. He testified that he interacted with him on 4 July 2024 when he was called by Dr. Mhlanga to attend to him. He testified, further, that he did a mental state examination and a clinical review. He found that the first defendant had a severe anxiety disorder and acute stress disorder. He prescribed him Citalopram, an anxiety and acute stress drug. He testified that he attended to him three times, and that the first defendant was not in a frame of mind to commit. He also advised the first defendant to receive psychotherapy for acute stress and anxiety disorder.

[133] During cross-examination, he stated that he did not have any interactions with the first defendant relating to any history of mental incapacity, neither had he done any formal assessments on him before. He testified that he compiled his medical report on the 29th of August 2024 with the assistance of his files. On being asked if his report was conclusive in relation to the first defendant's mental state, he stated that his report was an opinion on the first defendant's mental state. He stated, further, that his assessment gave the probability of what could happen when someone had severe anxiety and its impairment on the first defendant's decision-making process.

[134] When he was cross-examined on the number of times he attended to the first defendant, given that in his oral testimony he had said he attended to him thrice, yet his report on record spoke to him attending to the first defendant on the 4th then seven weeks later, he maintained that he had attended to him thrice but he had forgotten the other date.

Dr. Tarzen Mugadza

[135] He testified as follows: - he knew the plaintiffs as his patients, and the first defendant, as his neighbour and close friend. He confirmed the meeting with the plaintiffs, the first defendant's family, and Washington Dengu at his surgery. The meeting was called by the first plaintiff. At that time, the first defendant's family had also approached him, asking him to talk to the plaintiffs, as the family was in the dark as to what was happening and

what the first defendant had done to warrant his incarceration. The first plaintiff explained that the first defendant had stolen a large amount of money, approximately US$250 000, and he wanted the first defendant to sign off his house to him so that there would be no police involvement. The first defendant's family was willing to surrender the property as long as the first defendant was released.

[136] The witness explained that the first plaintiff spoke about the house while the second plaintiff spoke about the working environment. He said the second plaintiff complained that the first defendant was belittling her, that she had asked one of the workers to put a fridge in some corner, but the first defendant had interfered with that, and that the first defendant was not giving her enough stock for Downtown Pharmacy.

[137] During cross-examination, he maintained that the first plaintiff had demanded a house. He explained that in the meeting, the first defendant's family had asked how much the first defendant had stolen and what could be done to resolve the predicament, to which the first plaintiff had responded that he wanted the first defendant to sign off his house.

[138] When asked if it was a demand or a proposal, he responded that he did not know how to put it across, maybe it was a proposal but the first plaintiff said that if the first defendant gave him the house, there was no need to go to court, there was no need to waste money on lawyers and that the matter could be settled out of court once the papers were signed. He testified that he was not aware that the tripartite agreement was signed before the first defendant was released. He confirmed that he did not know that Washington Dengu had testified that the meeting was cordial, contrary to his testimony that to the first defendant's family, the meeting was tense. He testified he did not know the manner in which the second defendant operated for the second plaintiff to be asking for stocks from the first defendant.

[139] In re-examination, he stated that he was surprised that the first plaintiff knew that the house was sufficient to extinguish the debt. He was surprised how the plaintiffs had done a valuation of the first defendant's house without the first defendant's knowledge. On the different versions regarding the environment in the meeting, he stated that his testimony on the meeting being tense was his own assessment as someone who had known the first defendant's family for some time, and knowing their condition, including that their son was in custody.

Dr. Prudence Mhlanga

[140] He testified that he had known the first defendant for quite some time. He was also his friend and the family's doctor. He knew the plaintiffs from Mutare and as the first defendant's partners.

[141] He testified that he attended to the first defendant when he was released from remand after the first defendant's wife called him and told him that she was concerned about his condition. He asked them to come to the surgery. He testified that the first defendant visited his surgery on the 3rd and 4th of July, and unofficially on the 5th of July 2024.

[142] It was Dr. Mhlanga's testimony that when the first defendant visited on the 3rd of July, he was presenting symptoms suggestive of Post Traumatic Stress Disorder. He was anxious, he could not eat, he could not sleep, and he was not his usual self. He testified that the incarceration hit hard on him. He prescribed him anxiolytics and anti-depressants. He prescribed Citalopram, which is an anti-depressant and anti-diuretic drug. He testified that he added Fluoxetine the next day because Citalopram did not work on him, and he referred him to Dr. Madamombe, who attended to him at Dr. Mhlanga's rooms.

[143] Dr. Mhlanga testified that the first defendant also visited him the next day to give him feedback on his attendances by Dr. Madamombe, and he had other confidential challenges which he needed further attention on, but Dr. Mhlanga did not put these on record.

[144] On what prompted him to refer the first defendant to a psychiatrist, the witness testified that he is a general practitioner, and his case was 'quite something', so he needed him to see a psychiatrist and psychotherapist. He explained that Dr. Madamombe works in Harare, Marondera, and Mutare, and he comes to Mutare on Wednesdays, so he wanted him to be attended to urgently, hence he was seen at Dr. Mhlanga's rooms.

[145] He confirmed that he compiled a report upon the first defendant's request. He did not compile a report at the time he attended to the first defendant because standard practice is that a doctor writes notes, not a report, and 'life goes on'. He testified that the first defendant was not in a good state of mind, and his wife is the one who was driving. That is the reason why he had to put him on anxiolytics.

[146] In his view, the first defendant was not in a good state of mind to attend a meeting, judging by his condition. He explained that it is not an easy thing to put someone on the medication he put him on and to refer him to a psychiatrist. He had always known the first defendant to be a jovial person.

[147] In cross-examination, he explained that there was nothing unusual about Dr. Madamombe prescribing the same Citalopram drug he had prescribed to the first

defendant because doctors have the discretion to prescribe medication that they see fit, hence they can prescribe the same medication. He was referred to his report, which stated that the first defendant was not in a sound state of mind and his capacity to engage in intense business discussion and his decision-making was compromised. It was put to him that he did not have the capacity to speak to a patient's state of mind, to which he stated that a registered medical doctor does everything regarding patient management. He would not be a general surgeon, but he could suture wounds. He could even do the caesarean section surgical procedure. Dr. Mhlanga stated that he could speak to the first defendant's state of mind and that he referred him to Dr. Madamombe because when a patient is not well, the standard practice in the medical field is that you refer him to the next level of speciality.

[148] He stated that he did a general mental state examination on the first defendant, which entailed assessing the way the patient looked, talked, and was dressed. He maintained that did not compile a report because when attending to patients, doctors wrote notes, and those notes would be available when requested. Reports were only compiled upon request. He stated that he was not aware that only a certified psychiatrist was qualified to speak to a person's state of mind, that Dr. Madamombe did not give a conclusive report as to the first defendant's state of mind, and that he had stated that post-traumatic stress disorder was different from mental incapacity. In his view, the first defendant was not in a state to engage in intense business discussion because he was anxious, jittery, not eating. Dr Mhlanga had known the first defendant for a long time, and to him, he was at his lowest at the time he attended to him

[149] Dr. Prudence Mhlanga's testimony marked the end of the first defendant's case. The second defendant did not participate in this suit.

ISSUES FOR DETERMINATION

[150] I have already outlined the issues that were placed before me for determination at the case management meeting stage. For completeness, the issues are: -

(i) Whether or not the first defendant is liable to the plaintiffs in the sum of US$160 770.57 together with interest thereon calculated at the rate of 5% per month from the date of filing of summons to the date of payment plus costs of suit.

(ii) Whether or not the first defendant was mentally incapacitated when he attended the meeting held on the 3rd of July 2024.

[151] In their declaration, the plaintiffs' claim that in the 3rd of July 2024 meeting, the first defendant admitted that the total prejudice that he caused the second defendant is in the tune of US$258 708.00 and out of this amount, the total prejudice occasioned to the plaintiffs is in the sum of US$170 000. In my view, any valid admission to misappropriation and the consequent prejudice, would terminate this suit.

[152] However, it is common cause that the first defendant has sought the setting aside of the minutes of the 3rd of July 2024 meeting on the basis at the time of contracting, he was mentally incapacitated.

[153] On the basis of the foregoing, it seems to me convenient, for the purposes of disposal of this matter, to deal with the second issue first as I hereby do.

WHETHER OR NOT THE FIRST DEFENDANT WAS MENTALLY INCAPACITATED WHEN HE ATTENDED THE MEETING HELD ON THE 3RD OF JULY 2024

[154] The law relating to whether a person has the mental capacity to contract is now settled. It was succinctly captured in *Executive Hotel (Pvt) Ltd* v *Bennett NO* 2007 (1) ZLR 343 (S) at 350F-G, wherein CHIDYAUSIKU CJ quoted with approval the remarks in *Pheasant* v *Warne* 1922 AD 481 at p 488, to the effect that:

> "… a court of law called upon to decide a question of contractual liability depending upon mental capacity must determine whether the person concerned was or was not at the time capable of managing the particular affair in question – that is to say whether his mind was such that he could understand and appreciate the transaction into which he purported to enter"

[155] At p 351 A-B, the Supreme Court summarized the three principles to be considered in determining the existence or otherwise of *compos mentis* as follows:

> "1. Was the state of mind of the contracting party whose capacity is at issue such that he was incapable of estimating what was or what was not a fair and beneficial bargain?;
>
> 2. Was the state of mind of the contracting party whose capacity is at issue such as would in common honesty not make him liable or responsible for such act or contract?; and
>
> 3. Whether the contracting party whose capacity is at issue was of such unsound mind as to be incapable of understanding and appreciating the transaction into which he purported to enter."

[156] The court, further down on the same page, at para-C, remarked:

> "Prof Christie, in his book *The Law of Contract in South Africa* 3ed, commented on these three tests for determining the capacity of contracting parties in the following terms:

> "Remembering that the fundamental question is whether there was *consensus*, and that a negative answer to that question has the drastic result of making the contract void *ab initio*, the first of three tests – inability to weigh up a bargain – seems too lenient because such inability is consistent with mere stupidity, which is not enough. The second test, with its reference to common honesty, is a useful reminder of the policy of the law to protect the insane at the expense of other parties to contracts. The third test accords with that laid down by INNES CJ in *Pheasant v Warne* 1922 AD 481 at 488: … [quoted above].
>
> This is the test which, with slight variations of wording, has been applied in most of the cases. But it is not exclusive of other tests …""

[157] The question of whether a person had the requisite mental capacity to contract at the time of contracting is a question of fact to be decided by the court: *Executive Hotel (Pvt) Ltd* v *Bennett NO supra* @ 349F-G and *Dube NO* v *Matoka & Ors* HH212-14 at p18-19.

[158] In *casu*, it is common cause that the first defendant was in custody for criminal allegations of fraud relating to this dispute for eight days. The evidence before this court is that while he was in custody, he was prescribed Diazepam, a sleeping tablet because he was failing to sleep. This evidence stands unchallenged. On record is a prescription for the same drug prescribed by Dr. Madamombe on 4 July 2024 after he had examined the first defendant. Besides challenging that the prescription was neither stamped nor bears a scanning code, the fact that Dr. Madamombe prescribed that drug for the first defendant stands unchallenged. I have not been given any reason to doubt that indeed Dr. Madamombe prescribed Diazepam for the first defendant after assessing him and finding that he had severe anxiety disorder and acute stress disorder.

[159] The plaintiffs seriously challenge the fact that both Dr. Mhlanga and Dr. Madamombe prescribed Citalopram for the first defendant. In their closing submissions, they describe such double prescription as strange. While their argument that the two prescriptions were not produced is valid because this is common cause, absent of any evidence to the contrary, I do not find any reason to disbelieve Dr. Mhlanga's testimony that it is not unusual for two doctors, even if one is a general practitioner and another a specialist, to prescribe the same drug. I do not find any reason to disbelieve Dr. Mhlanga's testimony that doctors use discretion and prescribe medicines which they view to effective to deal with the symptoms presented.

[160] In Dr. Madamombe's opinion, severe anxiety could impair a person's decision-making process. According to Dr. Mhlanga, the first defendant came to him presenting symptoms suggestive of post-traumatic stress disorder. The first defendant could not eat, he could not sleep, was not his usual self, incarceration had hit him hard and he was at

his lowest. He had to prescribe him anxiolytics and anti-depressants for the first defendant.

[161] On record is a report that was prepared by Dr. Madamombe on request by the first defendant's legal practitioners. His report stated that the first defendant gave a history that he was arrested and had a stressful stay while in custody. He stated that he stayed in overcrowded unhygienic conditions- this was corroborated by the first defendant himself that there was overcrowding at prisons and he was incarcerated together with machete gangs.

[162] Dr. Madamombe made findings that the first defendant's appearance and behaviour showed that he was restless, fidgety and always on the edge. Dr. Madamombe further found that the first defendant was extensively not able to stop worrying and to him, that was evidence of anxiety. He reported that the General Anxiety Disorder screen (GAD-7) showed that the first defendant scored 18 out of a possible highest score of 21 and this was evidence that he was suffering from severe anxiety disorder. The stress test showed a high score of 57. Dr. Madamombe found that this was evidence of acute stress disorder.

[163] He stated that severe acute stress disorder can lead to difficulty in concentration, staying asleep, impaired decision making and impaired judgment.

[164] On record is also a report by Dr. Mhlanga which states that the first defendant came complaining of symptoms suggestive of post-traumatic stress disorder. He stated that the first defendant would not sleep, eat and would get some moments of anxiety, restlessness, hallucinations and panic attacks. On record is also a prescription for Fluoxetine, which was added on 4 July 2024, the second day Dr. Mhlanga attended to the first defendant because an anti-depressant and anti-diuretic drug, Citalopram, could not work. I do not have any reason to doubt that the first defendant was prescribed Fluoxetine on the second day of being examined by Dr. Mhlanga, because the first drug did not work. His evidence is suggestive of the fact that the first defendant's condition needed even more potent medication.

[165] The plaintiff's argument is that these reports were only prepared after the plaintiffs sued out summons against the first and second defendants, and is implicative of the first defendant seeking to avoid liability.

[166] I do not subscribe to that conclusion for several reasons. Firstly, Dr. Mhlanga explained that they did not prepare the reports contemporaneously with their medical

examinations because the normal way of doing business is to write doctor's notes, not reports. The making of doctor's notes at the time of examining a patient was corroborated by Dr. Madamombe. Reports are only produced upon a specific request. I have not been presented with a contrary position. I therefore do not have any reason to doubt that this is common practice which is not indicative of any construction of non-existent evidence.

[167] Secondly, the first defendant, his wife, Washington Dengu and the two doctors all testified to the first defendant's unwell state. Washington Dengu's testimony to the effect that he was told by the first defendant's wife that he was not himself, he was feeling down, he was not eating, he was always sleeping and isolated himself is very material. From the evidence, that information was given at the time the 3 July 2024 meeting was held and soon after the first defendant had been released from custody. The issue of summons only arose much later. In my view, at the time the first defendant's wife spoke to Washington Dengu, there was no motivation on her part to mislead Washington Dengu that the first defendant was distressed, depressed and post-traumatic.

[168] Thirdly, the first defendant and his wife testified that during the 3 July 2024 meeting, the first defendant broke down to such an extent that the first defendant's wife, who was not in the meeting, had to be called in to calm the first defendant. This evidence was not challenged. The fact that the first defendant's wife had to be called in to calm him down is very telling- there was more to the first defendant's conduct that the usual breaking down because someone has been caught out. In fact, in the first defendant's own words, twice he rolled on the floor and held on to the second's plaintiff legs. This evidence was not challenged.

[169] Even more critically, the first defendant's wife testified that when she got into the meeting, the first defendant was denying the allegations being levelled against him stating that the plaintiffs knew what happened. This evidence stands uncontroverted. The question that has exercised my mind is why would the first defendant be crying and denying the same allegations he purportedly was admitting to in the minutes of the meeting. In my view, this incident should have sent alarm bells to the plaintiffs that all was not well and it was desirable to have the first defendant assisted either by his legal practitioners or as had been suggested by Washington Dengu, Dr. Mugadza. For them to hold a meeting with the first defendant even in the absence of his wife then ask her to

witness the minutes of a meeting she did not attend but only came in to calm the first defendant was a serious lapse of judgment on the part of the plaintiffs.

[170] Fourthly, both the first defendant's wife and Dr. Mhlanga testified that the first defendant's wife is the one who was driving the first defendant when they visited Dr. Mhlanga. The plaintiffs state that the first defendant sent a WhatsApp message to them stating that he would be taking his wife to the doctor's. That message does not say that the first defendant would be the one driving. I have not been given a reason to read into that message an intention for the first defendant to drive his wife or that in fact he is the one who eventually drove his wife to the doctor's.

[171] Apart from the above evidence, the circumstances surrounding the minutes themselves point to the probability that they are not the kind of minutes which, if the first defendant was fully capable of managing his own affairs, he would have signed as an admission of liability. I turn to relate to these circumstances.

[172] The minutes stated that the first defendant outlined what he hoped to achieve from the meeting and expressed remorse about the unfortunate turn of events. The unfortunate turn of events is not described and could mean anything. The minutes stated that the parties' general consensus was that it was important to move on and try to find a solution through dialogue acceptable to both parties within the framework of the tripartite agreement.

[173] It was stated that the parties agreed that the restitution amount would be US$170 000 due and payable to the plaintiffs in their personal capacity. They stated further that this amount was considered fair as the company prejudice was US$258 708 and this figure represented 67% interest of the prejudiced parties. The minutes then related to the termination of the shareholder agreement. From my perusal of the minutes, they do not state that the first defendant admitted to the misappropriation. Neither do they state that the first defendant admitted to the prejudice.

[174] Regarding the tripartite agreement, it was entered into by the second defendant represented by the first plaintiff (who curiously the first plaintiff is now suing in these proceedings), the plaintiffs' legal practitioners and the first defendant's legal practitioners. The tripartite agreement recorded that the second defendant had unearthed financial malpractices at its principal place of business involving the first defendant. It recorded that the second defendant had placed US$258 708,00 as the financial prejudice attributed to the first defendant which led to the first defendant's arrest and placement

on remand. It recorded that its purpose was to record the terms under which the parties would conduct business negotiations for the acquittal or liquidation of the financial prejudice; the disposal of either the plaintiffs' shares or the first defendant's share in the second defendant; or the sale of the second defendant and the first defendant's release from prison. The tripartite agreement recorded that the first defendant genuinely intended to discuss and resolve that matter amicably. It recorded further that the negotiations would be held and completed within a minimum period of seven days and a maximum of fourteen days from the date of signature of the agreement. From my reading of the tripartite agreement, it does not speak of the first defendant accepting liability but rather the liability being attributed to him.

[175] I also find it necessary to relate to the WhatsApp communications placed before me to the extent that they speak to the circumstances leading to the first defendant's release from custody. I take the view that these communications shed further light on the purported admission.

[176] On 1 July 2024, the first plaintiff sent a message to Washington Dengu complaining that the first defendant, who at that time was still in custody, had not admitted to fraud. He complained that "*a simple 'sorry guys temptation got the better of me' would have gone a long way*". He complained, further, that the allegations by the legal practitioners of stock having been stolen by Downtown Pharmacy were counter-productive. He stated that as the first defendant was reflecting, the starting point was for him to contact his lawyers and admit to the misappropriation. He wanted the first defendant to be sincere. After further exchanges with the first plaintiff, Washington Dengu then undertook to advise the first defendant's 'camp' to relay the first plaintiff's concerns to the first defendant.

[177] I take the view that these chats demonstrate that the first defendant was not admitting to the misappropriation and they are suggestive of the first plaintiff perceiving the first defendant's failure to admit to the misappropriation as being arrogant and insincere. They demonstrate that the first plaintiff was not taking lightly to the questioning by the first defendant's legal practitioners of the stock movement between the second defendant and Downtown Pharmacy.

[178] On the same chat, the second plaintiff stated that the situation was now confusing as the first defendant's lawyers were pulling in the opposite direction. The first plaintiff then stated that they would '*work something out for release tomorrow with the lawyer*

from Harare', to which Washington Dengu asked him to explain and he stated that '*so we talk when he is out*'. For good measure, the first plaintiff then added that they could push for no bail but it appeared they were not making progress with local lawyers.

[179] True to the first plaintiff's word, the first defendant was released on 2 July 2024, and on 3 July 2024, the meeting was held. Even if the first plaintiff sought to distance himself from the role he played in the first defendant's release, the tripartite agreement and his own messages are highly suggestive of the fact that he was the one who was calling the shots in so far as the first defendant's release was concerned. The first defendant himself stated that the plaintiffs' legal practitioner, Passmore Nyakureba, had visited him while he was in remand prison and told him that he had done everything in his power for him to be released while exhorting him not to 'disappoint'. This evidence was not challenged.

[180] From the evidence placed before this court, while the first defendant was in custody, there are two other critical events which took place. Firstly, on 28 June 2024 the two plaintiffs file an *ex-parte* application for an interdict against the first defendant, his wife and Alleviate Health Services (Private) Limited, seeking to interdict them from opening and operating a pharmaceutical business at number 18 Aerodrome Road, in Mutare. The application was filed with the full knowledge that the first defendant had been in custody since 24 June 2024. The first defendant's evidence that this application was served on him while in prison and it was accompanied by an amended shareholders agreement which contained provisions to the effect that he was expected to record daily sales to the tune US$3 500, failing which he would be fired and barring him from opening and operating any pharmacy business in Mutare, Rusape or Harare stands on record unchallenged.

[181] Secondly, Dr. Mugadza testified that the first plaintiff reached out to him for negotiations with the first defendant's family. Three witnesses, the first defendant's wife, Dr. Mugadza and Washington Dengu testified that the first plaintiff stated that he wanted a certain immovable property belonging to the first defendant so that the matter would be settled out of court. The first plaintiff had even put a price tag on the immovable property, something which perplexed Dr. Mugadza. Had it not been that the first defendant is the only one who knew where the immovable property's documents were, he would have come out of remand prison to find the property gone. The first plaintiff was clearly maximising on the fact that the first defendant's family was at that

point desperate and would do anything for their 'child' to be released from remand prison.

[182] The plaintiffs are overemphasising the environment during the family meeting stating that Washington Dengu said it was cordial while Dr. Mugadza said it was tense. In my view, whether the meeting was cordial or tense is irrelevant because the first defendant who was at the centre of the controversy leading to the meeting was not part of that meeting. What is critical, in my view, is that three witnesses corroborated each other on the evidence that the first plaintiff wanted the first defendant's immovable property to offset the alleged prejudice, something which, according to Washington Dengu, the first defendant was not comfortable with. This request sheds further light on the circumstances running up to the 3 July 2024 meeting and the very environment under which the meeting was held. Presented with such a state of affairs, the only conclusion to be drawn is that the first defendant had no choice but to cooperate with the plaintiffs for the sake of his total freedom.

[183] There is also a message which was sent out by the first defendant to the plaintiffs on the day of his release and on the eve of the meeting. It is common cause that the original message was drafted by Washington Dengu in a bid to bring the parties to the negotiating table. The first defendant then edited parts of that message, changing some statements in English to Shona then adding that his wife was not well that is why he had delayed in sending the message.

[184] Much was said by the plaintiffs about this editorial being proof that the first defendant had full mental capacity to contract. In my view, the fact that he edited that message does not detract from the findings of two doctors, including a pyshiatrist, that the first defendant had post-traumatic stress disorder at the time. In my further view, the circumstances of the matter were such that he had to man up and attend the meeting anyway because in his message to Washington Dengu when he acknowledged the receipt of the draft message, he stated that peace was his priority. The family was anxious, the conditions in prison were not ideal, friends and family were pushing him to settle the matter and he had to do what was expected of him under the circumstances, lest he would find himself back in custody. In my view, this does not necessarily translate to the first defendant having the mental capacity to contract. I find support on this view from *Executive Hotel (Pvt) Ltd* v *Bennet NO supra*, where the court found that

the medical doctor who attended to the contractant clearly stated that he was incapable of managing his own affairs, although he had lucid moments.

[185] The other issue to consider is that on 4 July 2024, the minutes were shared in the same group and because the first defendant had been released, he was now part of the chats. His wife was also added. Washington Dengu commented that he hoped no one was under duress and that even though the minutes may not have made everyone happy, they were a collective best compromise way forward. The first defendant then requested that the minutes include that all charges would be dropped, to which the first plaintiff stated that the minutes were to create a paper trail of the parties' discussions. He added that the minutes were not the final document but captured the material items. From my reading of the minutes, those material terms omitted an acceptance of liability by the first defendant.

[186] I say so because in the subsequent messages exchanged between the parties, the first plaintiff clearly stated that they still needed to conclude the acknowledgement of debt for US$170 000 and legal costs estimated to be US$25 000, share sale agreement, security of debt and other administrative issues that formed part of the agreement. The first plaintiff stated that they were about 70% 'there' with the minutes. In my view, the fact that the first plaintiff needed to conclude an acknowledgement of debt fortifies the view that the minutes did not acknowledge the prejudice. In my view, the acknowledgement of debt was meant to cement and foolproof the first defendant's liability. In addition, by the first plaintiff's own admission in the messages, the minutes were not the final document.

[187] It is common cause that the first plaintiff then called for another meeting on 5 July 2024 which was meant to refine the points agreed in the first draft. The agenda of that meeting was to review and confirm the 3 July 2024 minutes, and to discuss any matters arising; additional items to be included in the draft agreements and any other business. The minutes of the 5 July 2024 meeting were not signed because the first defendant's wife then posted on the WhatsApp group that the first defendant was not feeling well, was disoriented and had almost collapsed.

[188] At this point, his wife even requested for legal practitioners to be involved considering the first defendant's state but the first plaintiff, for what I would consider to be selfish reasons, kept pushing for the minutes to be signed under the guise of an intention to give the legal practitioners a working document and so as not to waste time.

He was not even bothered that the first defendant was not well and he did not even respond to the message relating to this illness.

[189] Further, when the 3 July meeting was held, the plaintiffs been advised by Washington Dengu to ensure that Dr Mugadza was present at the meeting. The first plaintiff and his wife were the only ones on the WhatsApp platform then and that information was in their exclusive knowledge but they went against that advise and decided to have a meeting with the just released first defendant on his own. In his evidence, the first plaintiff tried to create an impression that the first defendant was accompanied by his wife but the uncontroverted evidence of the first defendant and his wife is that the wife was initially not in the meeting. She was then called in to calm the first defendant who was crying only so that the meeting could proceed.

[190] A point is made by the plaintiffs that Dr. Madamombe testified that post traumatic stress disorder was different from mental incapacity. This, in my view, does not take their case any further and is not binding on this court. As I have already stated, the question of whether or not the first defendant had the requisite mental capacity at the time of the meeting is a question of fact, to be decided by the court. The primary consideration should be the critical aspects laid down in *Executive Hotel (Pvt) Ltd* v *Bennet NO supra*.

[191] Further, in *National Health Laboratory Service* v *Yona and Others* [2015] 10 BLLR 1002 (LAC) at para 35, the Labour Appeal Court of South Africa made the following observations which, although not binding on this court, I find very persuasive:

> "In my view, the argument completely and seemingly deliberately overlooks the fact that at the time, Ms Yona was sick, suffering from a serious mental illness described as '*severe depression and generalised anxiety disorder'*. She was in dire need for assistance…"

[192] The court in that case considered sever depression and generalised anxiety disorder to be a serious mental illness. Closer to home, in *S* v *Dube* 1997 (1) ZLR 229 (H), the court, although sitting as a criminal court, made pertinent comments which I am of the view are of great assistance to this court. Relating to the evidence of two psychiatrists who had assessed the accused person in that matter, the court noted at p 240 that:

> "Both are in agreement that the accused was suffering from post-traumatic stress disorder which would fall within the meaning of ―any other disorder or disability of the mind in the definition of mentally disordered or defective in s 2 of the Mental Health Act [*Chapter 15:06*]."

[193] Just like the old Mental Health Act [*Chapter 15:06*], the current Mental Health Act [*Chapter 15:12*] contains a similarly worded definition of 'mentally disordered or intellectually handicapped' namely:

> ""mentally disordered or intellectually handicapped", in relation to any person, means that the person is suffering from mental illness, arrested or incomplete development of mind, psychopathic disorder or any other disorder or disability of the mind"

[194] In my analysis, as far back as 1997, the court recognised post-traumatic stress disorder as a form of mental disorder so the fact that Dr. Madamombe testified that it is not does not change the position of the law. On the evidence on record, both doctors corroborated each other on their findings that the first defendant had post-traumatic stress disorder and the probability that it had an effect on his decision-making process. The fact that at the time both doctors attended to the first defendant they did not know about the 3 July 2024 meeting does not, in my view, detract from their evidence on the effects an acute anxiety disorder would have on a person's capacity to meaningfully engage in a serious business meeting. I have not been given any reason to doubt the reports and the evidence of the two doctors in this regard. There is no other expert evidence placed on record to prove a contrary position or to cast any doubt on the veracity of this evidence, especially Dr Madamombe's evidence. Most importantly, I have no reason to doubt the professional competence and expertise of Dr. Madamombe as a qualified psychiatrist in making the findings he did after evaluating the first defendant's mental state on 4 July 2024, soon after the meeting was held.

[195] Much was also said about the seeming incongruency on when exactly and the number of times both Dr. Madamombe and Dr. Mhlanga attended to the first defendant. In my view, this incongruency does not carry much impact on the overall credibility and reliability of the evidence relating to the first defendant's state of mind, results of his medical examination, the medication he was prescribed and the impact of post-traumatic stress disorder on engaging in decision and judgment making. On the whole, the court finds that the first defendant's witnesses, to the extent of the first defendant's mental state in the days leading to the meeting and; at the time he attended the meeting and signed the minutes were credible and their evidence can safely be accepted as a true and cogent account of what actually transpired.

[196] Even the restitution agreement of March 2024 would not render the first defendant mentally capable to attend the 3 July 2024 meeting. The circumstances leading to both meetings were clearly different.

[197] On a careful consideration of the matter and the circumstances surrounding the signing of the minutes as outlined above, I am of the view that on a balance of probabilities, the first defendant's state of mind was such that he was incapable of estimating what was or what was not a fair and beneficial bargain. Further, I am of the view that the first defendant's state of mind would, in common honesty, not make him liable for signing the minutes as an agreement between the parties. Finally, I am of the view that the first defendant was of unsound mind rendered by post-traumatic stress disorder as to be incapable of understanding and appreciating the transaction in which he purported to enter. I am satisfied that the first defendant lacked the mental capacity to contract when he attended the 3rd of July 2024 meeting and for that reason, I am unable to rely on the minutes as a true record of the first defendant's admission of liability.

WHETHER OR NOT THE FIRST DEFENDANT IS LIABLE TO THE PLAINTIFFS

[198] Section 55 (2) of COBE provides that: -

> "(2) A manager or controlling member of a private business corporation and a director, officer or controlling member of a company has a duty to act with loyalty to that registered business entity and, in the case of a company, towards any subsidiary of that company."

[199] The plaintiffs' allegation is that the first defendant is in breach of the duty of loyalty imposed upon him by s55 of COBE because he misappropriated funds belonging to the second defendant. In casu, the plaintiffs make the present claim on the strength of s60 of COBE which provides as follows: -

> **'60 Direct actions by members**
>
> (1) A member of a private business corporation or a company may bring an action in court in such person's own name against any manager, officer or director referred to in section 54 or 55 to enforce, or recover damages caused to him or her caused by violation of a duty incumbent upon any such manager, officer or director under this Act or any other law including laws against fraud or misappropriation.
>
> (2) An action under subsection (1) may be brought by one person in the person's own name or by two or more persons in their names acting together."

[200] Section 60 permits a member of a company to bring an action for damages in his or her own name against any manager, officer or director of a company in circumstances where the manager, officer or director has caused those damages as a result of a violation of his duty of loyalty. I digress momentarily to comment that I am aware that at the time the matter was heard, the plaintiffs had long ceased to be members of the second defendant, having sold the company to a third party. I however understood the context of their claim to be that at the material time, they were members of the second defendant and they would

be rightfully entitled to damages emanating from the first defendant's violation of his duty of loyalty to the second defendant at the relevant time.

[201]Reverting to the issue at hand, an attempt was made by the first defendant to distance himself from liability arising from s60 as read with s55 of COBE on the basis that he was not the second defendant's supervising pharmacist. I do not find the first defendant's testimony that he was not the supervising pharmacist credible. In his plea, the first defendant admitted that he was responsible for the day-to-day management of the first defendant. In a report dated 13 April 2024 to the MCAZ, the first defendant identified himself as the branch manager. On record is the first defendant's withdrawn counterclaim in this matter in which he states that on 6 May 2024 he resigned as the second defendant's supervising pharmacist and managing director. I find that the first defendant's reliance on the shareholders agreement and the email exchanges between the parties in November 2017 as the only source documents defining the roles of the plaintiffs and the first defendant to be a futile attempt to hoodwink the court on his exact role in the second defendant. I also find that the fact that at one time all directors and shareholders put their hands on the deck to respond to issues arising from MCAZ does not prove that the first defendant was not the supervising pharmacist. I find that, on the evidence on record, the first defendant was the second defendant's supervising pharmacist and managing director making him liable to pay damages to the plaintiffs in terms of s60 as read with s55 of COBE, if the damages are proved.

[202]In any event, whether or not the first defendant was the second defendant's managing director or executive director or just a general director may be of no moment and would not really absolve either him or any of the second defendant's directors because in *Sambadza* v *AL-Shams Global BVI Limited* 2021 (1) ZLR 801 (S) at 810C, the court noted that the law does not seem to distinguish between executive directors and general directors. The court stated that the role of executive directors and ordinary directors in so far as the company is concerned is the same. They all have an affirmative duty to safeguard and protect the interests of the company.

[203]Two broad allegations have been made against the first defendant to found liability in terms of s60 as read with s55 of COBE. The first one is that the first defendant committed procurement fraud through the generation of fictitious goods received vouchers without invoices and proof of delivery of the drugs purportedly procured for the second defendant.

The plaintiffs alleged that US$284 036.01 was lost through this manner of misappropriation.

[204]The second manner of misappropriation was through under receiving of drugs stocks and manipulation of the goods received voucher quantities and unit costs to compensate for the stolen items. US$15 621.37 was lost through this.

[205] With regards the first purported manner of misappropriation, I note from the plaintiffs' closing submissions that they now accuse the first defendant of missing the gist of the plaintiffs' claim when he referred to Cosmas, Kuda and Martin as known suppliers. They now state that the first defendant generated some goods received vouchers, on the basis of which payments were made, but the actual goods were not received. I do not agree.

[206]In their claim, the plaintiffs stated that the second defendant paid out US$299 657.58 to fictitious suppliers. In his examination-in-chief, the first plaintiff clearly stated that Varichem Kuda, Varichem Cosmas and Varichem Martin were non-existent and they could not be traced. During cross-examination, he specifically denied knowledge of these 'runners' as suppliers bringing in drugs from South Africa stating that it was the first defendant who was clarifying their status as he did not know registered and unregistered products. He even dismissed as baseless the allegation that these were known suppliers who were prefixed with Varichem so as to evade detection by MCAZ. On being re-examined, he reiterated that these suppliers were non-existent.

[207] In para 6.1.18 of the CapVest report it is stated that: -

> "In the absence of security checks and valid invoices, we could not ascertain proof of delivery of the stock items. We could not perform alternative procedures and request proof of delivery of product directly with the suppliers *as there were no details to support their existence*. We therefore concluded that Clique Pharmacy was prejudiced of US$284 036.21." [Emphasis added]

[208]On para 6.1.23 the same report states that the daily cash flow statements showed that Varichem Kuda and Varichem Cosmas were owed US$2 787 and US$2 490 respectively, but these amounts had not been claimed since the commencement of the forensic investigation and remained outstanding. By the plaintiff's own testimony, these 'purported suppliers' had not collected their payments over a year later because they did not exist.

[209]The CapVest report shows in paras 6.1.25 and 6.1.26 that they interviewed a Kudakwashe Murerwa who disputed having made any deliveries to the second defendant and having received any payment amounting to US$118 272. Where this Kudakwashe Murerwa was picked from and on what basis is anybody's guess but this just goes to show that CapVest was sent on a wild goose chase in order to justify that Varichem Cosmas,

Varichem Martin and Varichem Kuda were non-existent. This is supported by para 6.1.34 of the report which states that from the interviews, none of the security guards were aware of the existence of suppliers Varichem Martin or Geddes Martin, Varichem Cosmas and Varichem Kuda.

[210]For good measure, the first plaintiff even sent an email to Varichem Pharmaceuticals on 11 July 2024 for them to confirm their outstanding payments to CapVest. In their response, Varichem Pharmaceuticals confirmed that they did not have a Cosmas and / Martin but they had a sales representative known as Kudakwashe who had joined them in December 2023 and therefore would not be the one related to in the second defendant's schedule. The whole claim in respect of the US$284 036.01 was predicated on Varichem Kuda, Varichem Martin and Varichem Cosmas being fictitious suppliers. Yet, despite all these elaborate and concerted efforts to prove that Varichem Kuda, Varichem Martin and Varichem Cosmas were non-existent, the plaintiffs suddenly allege that the first defendant missed the point.

[211]There is an explanation for the plaintiffs' sudden about turn.

[212]The same report claims in para 6.1.35 that Clever Gapara, upon being asked to provide contact details for these suppliers, he stated that he was not aware of them. The same Clever Gapara is said to have stated in para 6.1.11 that the pre-fix Varichem or Geddes was the first defendant's creation, and that it was the first defendant who handled the orders and collected payments on their behalf (para 6.1.35 of the report). This was the narrative being pushed by the plaintiffs yet when he was on the witness stand, as their very own witness, Clever Gapara, opened a pandoras box which was fatal to their case.

[213]He confirmed that Varichem Cosmas, Varichem Kuda and Varichem Martin were existent suppliers. He confirmed knowing them. He confirmed their presence in the second defendant's system. He confirmed that they had been prefixed, initially with Geddes and now Varichem so as to throw MCAZ off the scent because the procurement of medicines from 'runners' was strictly prohibited. He confirmed that he did not have sight of invoices from these runners but there were a few instances when they would get invoices. Yet, they were still paid, in cash. Contrary to the first plaintiff's vehement denial, this witness confirmed that the second defendant used to procure medicines from South Africa. He was unequivocal in his response that CityMed and StarMed were not one and the same company. He confirmed that not all security registers were availed to CapVest, a fact which even Mr Mucheki also confirmed. The few registers that were availed show the

existence of these suppliers. Clever Gapara confirmed a WhatsApp message circulated on the Clique Pharmacy group where both the first plaintiff and first defendant were actively participative in which Samuel Maenzanise stated that a payment of US$2 423 had been allocated to Varichem Kuda among other payments. Those payments were approved by the first plaintiff who purportedly did not know of Varichem Kuda's existence.

[214]The CapVest report purported to have interviewed Wellington Mazambani among the security personnel. I have already alluded to the same report stating that the security guards professed ignorance of Varichem Kuda, Varichem Cosmas and Varichem Martin. Yet, Wellington Mazambani's evidence on oath was that he knew these people. So did Samuel Maenzanise. This puts to question the veracity of the findings in that report.

[215]In my analysis, it is the height of disingenuity for the plaintiffs to now seek to belatedly acknowledge the existence of Varichem Kuda, Varichem Cosmas and Varichem Martin because they have been presented with undeniable evidence which supports their existence. To exacerbate the matter, the first plaintiff was adamant that the plaintiffs had presented CapVest with all the security registers but both Thompson Mucheki and Clever Gapara indicated that not all security registers had been availed to CapVest. Thompson Mucheki even testified that things were not being done properly in the second defendant. What is clear is that the first plaintiff misled the court on the information he gave to CapVest. The manner in which the first plaintiff was adamant shows that this false testimony was not merely because of forgetfulness but a deliberate ploy to mislead the court.

[216]Similarly, the basis upon which the plaintiffs' claim that the first defendant misappropriated US$15 621.37 stands on very shaky ground. This claim is predicated on the allegation that the first defendant manipulated goods received vouchers in the system so that they would match the invoices in terms of prices but the goods received were understated or that discounts were not catered for.

[217]The first plaintiff tried to create an impression that he was not too involved in the operations of the second defendant hence he missed these anomalies. I am of a different finding.

[218]The WhatsApp chats placed before the court display that the first plaintiff was very much involved in the second defendant's operations. By way of illustration, the group was created by the first plaintiff. He would examine the debtors and direct that the debtors' position be seriously looked at. He would speak about sorting the closed-circuit television

(CCTV) system and getting the second defendant's door's opening and closing notifications fixed. He would discuss worker's salaries. He would speak about daily reports needing cleaning up specifically accuracy of stock sheets and negative stocks; debtors' collection and write off of long irrecoverable debts; creditors reconciliations at month end and before payment as well as small balances. He would request the team to maintain financial discipline.

[219]To zero in on specific dates, on 13 September 2022, he gave a specific directive that there would no longer be payments without creditors requisitions authorised by Mr Gapara. On 4 August 2023, he directed that no external payment would be done from any bank other than ZB bank and he would authorise such payments or in his absence, the first defendant would authorise. On 7 August 2023 he requested for the 'current creditors age analysis and reconciliations to official statements'; 'debtors' confirmations both trade and other'; 'stock count for 20 over and 20 under with variance explanations'; bank reconciliations and 'cum to date stock usage to sales reconciliation'. He also stated that he would sample payments and he needed to see the reconciliations done before payment and proof of payment. He stated that he would spend the whole day reviewing these documents. He would have meetings with his finance team to review costs and to strategize. On 30 August 2023, he sent a message that he would review all payments, no matter how small. This message was repeated in October 2023. On 20 September 2023, he asked Samuel Maenzanise to check on his front shop stock, to which Samuel Maenzanise responded and stated that the correct stock value was US$16 871.00. Added to that, Wellington Mazambani testified that the first plaintiff would come to the second defendant on a daily basis.

[220]The evidence on record shows the level of the first plaintiff's involvement in the day-to-day operations was more pronounced than he wanted this court to believe. In his own testimony, he would get daily reports from the ProPharm system. The first plaintiff also had a firm grip on the payments that were made by the second defendant, often requesting for documents and emphasising that he was responsible for payments, such that I find it improbable that he, a chartered accountant, would be hoodwinked by the first defendant, a mere pharmacist not schooled in accounting, as he purportedly was. On a slightly different but related note, while indeed the first defendant collected some cash from the accountants to hand over to suppliers, this was not regular. Both the plaintiffs' and the first defendant's witnesses corroborated each that that he would do so in 'some' instances. It was not

controverted that he would do so when the accounts team was knocking off early while he remained behind. There is no evidence that the first defendant received the US$284 036.21 through this method.

[221]In my analysis, the first plaintiff was making every attempt to wash his hands off the day-to-day operations of the second defendant, but the evidence on record speaks otherwise. He was very much involved. His evidence was simply misleading.

[222]That was not the end. The first plaintiff also misled the court that the second plaintiff was not involved in the operations of the second defendant. She was. Her complaints in the family meeting say so. Wellington Mazambani testified so. The second plaintiff felt belittled by the first defendant. They fought over what would ordinarily be minor issues like placement of a refrigerator. They fought over stock issues. She was aggrieved and took her grievances to the family meeting. These clashes would not, in my view, occur if the second plaintiff operated remotely from the second defendant. Her presence in the second defendant was regular leading to friction between her and the first defendant. I have no reason to doubt the evidence of Dr Mugadza, Washington Dengu and Wellington Mazambani on the second plaintiff's interactions with the first defendant. Overally, I find these witnesses credible. They stood by their testimonies even under cross-examination.

[223]Further, in his evidence in chief, the first plaintiff stated that the manipulated goods received vouchers were attached to the correct invoices and forwarded to accounts for payment. Clever Gapara testified that he would check those invoices. If there were these checks and balances, it is a wonder what the accounting staff was actually checking and verifying before making payments and how they could have missed the manipulations for close to three years. I cannot fathom that these checks were just cosmetic. If they were, someone definitely slept on duty. It was either that or the first plaintiff was simply spinning a tall tale to suit his narrative, and in the process unwittingly exposed some pitfalls.

[224]The witnesses stated that *ad hoc* stock takes would be conducted. I do not want to believe that the second defendant's employees would just do those stock takes, no matter how minor, without comparing the stocks on the floor to the stocks in the system, otherwise it would have been a meaningless exercise. Clever Gapara stated that they would report any discrepancies to the first defendant, but the WhatsApp messages show that the first plaintiff also had information on the second defendant's stock. He would demand stock sheets. It is therefore not entirely true that the first defendant had the

exclusive knowledge of the second defendant's stock to the exclusion of all the other directors. I also find it improbable that in the entire three years, the first plaintiff had no inkling whatsoever of the stock discrepancies, if ever they were there.

[225]Further, if the first defendant was understating received stocks as the first plaintiff would want the court to believe, that means that the first defendant was literally taking the excess stock out of the pharmacy. Surely, given that the purported misappropriation happened over close to three years, there should have been evidence of the first defendant stealing, of which there was none placed before the court. Neither was there any explanation of how the balance of the understated drugs would be accounted for. I find it improbable that the first defendant would steal stock for such a long period of time undetected. He did not strike me as someone so crafty that he could pull such a feat undetected. In fact, my view of the witnesses was that the first plaintiff appeared much more sophisticated than the first defendant.

[226]After a careful analysis of the record, I find that the first plaintiff was not a credible witness. His testimony was misleading in material respects. He misled the court on the level of his and the second plaintiff's involvement in the second defendant's day to day operations. He misled CapVest and the court that Varichem Kuda, Varichem Martin and Varichem Cosmas were non-existent. He even went as far as generating an email to Varichem Pharmaceuticals searching for Kuda, knowing fully well that this was literally searching for a needle in a haystack. In this court, he even challenged the first defendant to produce the trio, whom he knew fully well were existent. He misled the court that the second defendant never imported drugs from South Africa. He misled the court that he had given CapVest all the security registers. He misled the court that it was the first defendant's family that had called for the family meeting when the first defendant was in custody. He further misled the court that he had not indicated that the issue between the parties could be resolved if the first defendant parted with his immovable property as 'compensation' for the misappropriated funds. I have not been given any reason to doubt Washington Dengu's and Dr. Mugadza's consistent evidence to this effect. I do not find any motivation on their part to jointly mislead the court. Their participation in the plaintiffs' and first defendant's standoff was motivated by good intentions to resolve the impasse amicably.

[227]In respect of the first plaintiff's misleading evidence, I must state that the courts take a dim view of litigants who choose not to be candid with it. I cannot improve on MANGOTA

J's sentiments in *The Sheriff for Zimbabwe & Anor* v *Njokoya & Anor* HH667-22 to the effect that: -

> "A litigant who makes up his mind to withhold from the court vital information which he knows is adverse to his case is not better than one who tells a blue lie to the court. He is a dishonest litigant whom the court cannot reward if, as is the case in the present proceedings, what he withheld later comes to the attention of the court. The court spoke eloquently on the disposition of such a litigant and the consequences which will visit him for his dishonesty. It stated in *Deputy Sheriff, Harare* v *Mahleza,* 1997 (2) ZLR 425 that:
>
> > "People are not allowed to come to court seeking the court's assistance if they are guilty of a lack of probity or honesty in respect of the circumstances which cause them to seek relief from the court".
>
> In stating as it did, the court was only emphasizing the principle of honesty which the court laid down in *Underbay* v *Underbay*, 1977 (4) SA 23 (W) at 24 E-F wherein it was stated that:
>
> > "It is fundamental to court procedures in this country and in all civilized countries that standards of faithfulness and honesty be observed by parties who seek relief. If this court were not to enforce that standard, it would be washing its hands of its responsibility."
>
> Indeed, courts the world over look with more sympathy on litigants who place them (courts) into their confidence than on those who choose to lie or mislead them by withholding information which is vital to the determination of their case(s). A litigant who tells his story in a clear, concise and unambiguous manner is by any standard, more preferable to the one who chooses to tell a lie. It is for the mentioned reason, if for no other, that the court cited with approval the learned words of L.H. Hoffman and D.T. Zeffert's *South African Law of Evidence*, 3rd edition, p 472 who stated, in *Leather Trade Zimbabwe (Pvt) Ltd* v *Smith*, HH 131/03, that:
>
> > "……...if a litigant gives false evidence, his story will be discarded and the same adverse inferences may be drawn as if he has not given any evidence at all."" (at p. 5 of the cyclostyled judgment."

[228] A party that conceals material information from the court must be unworthy of its protection. A party seeking relief must take the court into his confidence by laying bare all the relevant facts on the matter: *Sadiqi* v *Muteswa & Ors* HH 281-20 at p5-6. I find that the lack of candour by the first plaintiff on material issues is damaging to the plaintiffs' case. In short, the plaintiffs cannot seek the court's protection after being dishonest with it.

[229] Against this backdrop, I find it hard to believe and rely on the first plaintiffs' testimony that when the first defendant attended the 3 July 2024 meeting, he was not disoriented and he was behaving normally. The first plaintiff has proved to be an unreliable witness and I draw adverse inferences from his evidence.

[230] In similar fashion, Michelle Rumbidzai Ringoziva's evidence exposed certain shortcomings in the second defendant's ProPharm system. While in evidence in chief she was adamant that the system could not be manipulated, a demonstration that she was asked to do by the first defendant revealed that the supplier profile like names and addresses on the goods received voucher could be edited and saved. She also revealed that the assistant name and assistant code could be edited and saved. After the demonstration, she conceded that such critical information could be changed by someone who could bypass the passwords. Her evidence also revealed that the system's server was kept at the second defendant's premises therefore subject to full control at the second defendant.

[231] In my analysis, her insistence that the goods received voucher could not be edited was misleading, as a demonstration of how the system could be manipulated revealed otherwise. She also tried to play dumb by testifying that she did not know what information would be revealed upon printing an edited goods received voucher. A printer does not print a document based on information that used to be there but information that is on the document at the time it is printed. The witness wanted to appear ignorant because the facts were there for all to see that a goods received voucher could be edited, saved and printed in an edited format. She was deliberately not being truthful with the court. I find that she was not a credible witness.

DISPOSITION

[232]In the final analysis of the evidence before me, I find that the first plaintiff was fully aware of the so-called fictitious suppliers. He fully knew that they were not authorised in terms of the law. He fully appreciated the MCAZ consequences of procuring drugs through unauthorised suppliers. When the plaintiffs' relationship with the first defendant went south, the plaintiffs made a deliberate and conscious but unfortunate decision to kill two birds with one stone by getting rid of the first defendant in the worst manner imaginable and at the same time, by attributing the second defendant's MCAZ proscribed misdemeanours to the first defendant, yet he was in on those misdemeanours all the way.

[233]I find that the ProPharm system can be manipulated. I find that the evidence placed before this court to support the allegation of misappropriation of funds through under-receiving of goods and failure to account for discounts improbable. I am not convinced that the first defendant altered the goods received vouchers, which would be attached to

the invoices for payment, for years without anyone noticing the alterations, given the firm grip the first plaintiff had on the payments. I also find it improbable that there is no trace or explanation of where the goods that had been received but not declared went and if they were taken by the first defendant, that he would do so for so long undetected. I find it improbable that the second defendant's staff would conduct stock takes and fail to notice a systematic pilferage of stock over close to three years by the first defendant. I find it improbable that the second defendant's systems were so porous to this extent.

[234]I find that in fact, the plaintiffs did not take kindly to the first defendant's intention to abandon the partnership. The plaintiffs' treatment of the first defendant was a payback not only for his decision to leave but the manner in which he was interacting with the second plaintiff. We know now that the second plaintiff was complaining about the first defendant not giving her space to practice, being undermined by the first defendant and seemingly small issues like placement of a refrigerator.

[235]In my view, coming against this backdrop, the fact that the first defendant decided to stand on his own was a bitter pill to swallow for the plaintiffs. In their bid to stop him, they cried misappropriation of funds. The plaintiffs were bent on inflicting the worst pain possible on the first defendant for his decision to go it alone. However, as demonstrated in the preceding paragraphs of this judgment, the evidence on record does not support the claim. The alleged damages have not been proved to entitle the plaintiffs to the relief they seek. Similarly, the plaintiffs cannot rely on the 3 July 2024 meeting minutes to found liability on the part of the first defendant. I find that the first defendant was mentally incapacitated when he attended that meeting. The minutes of that meeting ought to be set aside and the plaintiffs claim ought to be dismissed in its entirety.

[236]On the question of costs, it is trite that costs follow the outcome. The first defendant has prayed for costs on a higher scale. This prayer seems to have been made as a matter of course as the first defendant has not justified why I should apply a punitive scale in awarding costs in this matter. In my view, costs on an ordinary scale would still meet the justice of this case.

ORDER

[237] In the result, it is ordered that:

1. The minutes of the second defendant's shareholders' meeting held on the 3rd of July 2024 be and are hereby set aside.
2. The plaintiffs' claim be and is hereby dismissed with costs.

MUSHURE J: .....

Wintertons, plaintiffs' (and respondents' under HCH2810/25) legal practitioners
M.D. Hungwe Attorneys at Law, first defendant's (and applicant's under HCH2018/25) legal practitioners